TRADING FOUNDRY

COURSE PLAYBOOK · ADVANCED · 12 LESSONS

Scalping Mastery: The 1-Minute & 5-Minute *Playbook.*

A complete, cost-honest scalping method for the 5-minute and 1-minute charts — and the discipline to know when not to use it.



EDUCATION ONLY — NOT FINANCIAL ADVICE. CHARTS ARE ILLUSTRATIVE, SYNTHETIC PRICE DATA.

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What you will be able to do

- Calculate your all-in round-trip cost and the break-even win rate it forces on any stop, target and R multiple
- Decide, with your own numbers, whether scalping is viable for you at all — and walk away cleanly if it is not
- Choose the pair and the session window that give a scalper the cheapest fuel, and stand aside around scheduled news
- Run the 4-step 5-minute plan: H1 bias, M5 EMA trend filter, pullback trigger, fixed-R exits
- Refine entries on the 1-minute chart and read candlestick triggers at pre-marked micro levels
- Place stops beyond the sweep zone and targets in fixed R, applying the 5x cost rule
- Set daily loss limits, trade caps and a consecutive-loss breaker, and keep a ten-second scalp journal
- Review a session in R, audit the left tail, and grade every trade A or B

This playbook is educational content only. It is not financial advice and nothing in it is a recommendation to buy or sell any instrument. Every chart is an illustrative training example built from synthetic price data — not a record of real market history or results. Trading foreign exchange on margin carries a high level of risk.

What Scalping Is — and Who Should Not Do It.

MODULE 1 — THE HONEST ARITHMETIC · LESSON 1

Define scalping strictly, list what the format demands, and decide honestly whether you are the narrow profile it suits before you risk a penny on it.

Scalping has the best marketing in retail trading. Quick trades, small stops, money made before the coffee goes cold. The reality is less photogenic: scalping is the most expensive trading format per pip of edge, the most mentally fatiguing, and the least forgiving of sloppiness. It can be done well. Most people who try it do it badly, and the reasons are structural rather than personal.

This course teaches one complete scalping method — a four-step plan on the 5-minute chart with optional refinement on the 1-minute — and it teaches the arithmetic and the operating discipline that decide whether that method has any chance of working for you. We will be honest throughout, including in this first lesson, where the honest answer for many readers is "not yet, and possibly not ever". That is a perfectly good outcome. It costs a few evenings rather than an account.

A definition worth being strict about

Scalping is taking many small, short-duration trades on low timeframes — usually the 1-minute and 5-minute charts — held for minutes rather than hours, and judged inside the session they were opened. The scalper is not trying to ride a trend from start to finish. The aim is to capture a small, repeatable slice of a move that the market's short-term behaviour makes likely: a pullback ending inside a trend, a level holding after a test, a session open pushing in the direction the bigger picture already favours.

In this course a scalp has four fixed properties. It has a defined trigger, an observable candle event you could point at on a screen. It has a stop measured in single-digit pips on the major pairs — five to eight pips on EUR/USD in our plan. It has a target fixed in advance as a multiple of that stop, which we will call R. And it has a holding time short enough that the trade is usually resolved within half an hour.

That rules out a lot of what people call scalping. Two trades a day held for three hours is day trading. Closing a swing trade early because it frightened you is not scalping either; it is nerves with a fast exit. The distinction matters because the numbers change completely once targets shrink to single digits.



A London morning on EUR/USD that travels about 45 pips. The scalp takes 7.5 of them with a 5-pip stop, entering after a pullback into the moving averages. The scalper's job is not to own the move — it is to take one small, well-defined slice of it, repeatedly.

The core ratio: error and cost as a fraction of target

Here is the single idea that drives the whole course. Every trade pays a toll — spread, commission and slippage — and every trader makes small execution errors. Those tolls and errors are roughly fixed in pips. Your target is not.

A swing trader aiming for 80 pips who enters a pip late has given away just over 1% of the target. A scalper aiming for 7.5 pips who enters a pip late has given away 13%. Add a typical all-in toll of around 1 pip and the scalper is surrendering more than a quarter of every winner before the market has done anything at all. Lesson 2 does this arithmetic properly. For now, hold on to the shape of it: **small targets do not reduce cost, they concentrate it.**

KEY POINT

In scalping, cost and error are measured as a fraction of your target. Shrink the target and the same one-pip mistake becomes a much bigger share of your edge.

What the format actually demands

It is worth listing the demands bluntly, because each one is a legitimate reason not to scalp.

Time, in unbroken blocks. You cannot scalp around a job by glancing at a phone. The plan in this course trades one of two windows — the London open or the London–New York overlap — and needs your full

attention for around two hours. Miss a trigger by thirty seconds and it has gone.

Cheap, fast execution. You need raw-spread pricing, low commission, a platform that does not freeze when the market gets busy, and fills you have measured rather than read about. Costs that are trivial for a swing trader decide whether a scalper can win at all.

One rehearsed play. Fast decisions only stay accurate when they are binary: is this my setup, yes or no? A trader with five setups on a 1-minute chart is answering an essay question every candle. This course gives you one setup, and asks you to drill it until recognising it takes seconds.

Emotional durability. A normal session might hold four to six trades. Losses cluster. You can follow every rule and still take three losers in a row before ten o'clock, purely from variance. If that sequence makes you change the rules, the format will take you apart.

Hard limits, set in advance. Because the trade cycle is fast, drawdowns are fast. A bad hour of scalping can do what a bad month of swing trading does. Daily loss limits and trade caps are structural parts of the method, not optional extras, and Module 4 treats them that way.



A two-hour window contains several candidates and every one is a decision: wait, take, manage, exit, log, reset. Here the first long reaches its target and the second is stopped out after a perfectly valid entry. Both were correct decisions. A scalper has to be able to say that and mean it.

Who should not scalp

Here is the editorial position of this course, stated early so nobody can say it was buried: most traders should not scalp, and almost nobody should start their trading life with it.

The reasons are not about intelligence.

Costs. As Lesson 2 shows, scalping pays the highest toll per pip of edge of any format. You need a genuinely strong edge just to break even, whereas a trader on the 4-hour chart can survive with a modest one.

Feedback. Scalping produces so many trades that bad habits are reinforced dozens of times a week before you notice them. A swing trader who chases entries does it twice a month. A scalper who chases does it twice an hour.

Physiology. Sustained rapid decision-making under financial pressure is tiring, and fatigue degrades exactly the discipline the format depends on. The rule-follower at 08:15 is often a rule-bender by 10:00.

Life. If your free time is in the evening, you are looking at the Asian session on European pairs: thin, slow and relatively expensive. That is not a scalping market for EUR/USD or GBP/USD, and no amount of enthusiasm changes it.

So who is it for? A narrow profile: someone with proven discipline on higher timeframes, who can follow written rules under pressure, has two free hours at a consistent time that overlaps London or New York, has access to genuinely low-cost execution, and finds repetition calming rather than boring. If that is not you today, the honest move is to keep trading slower formats and come back to this course when it is.



A one-minute spike, a late buy at the top, a stop-out as the spike fades. Nothing on this chart was a setup: there was no pullback, no level and no plan, just the fear of missing out. If this is the trade you find yourself taking, the format is training a bad habit faster than any other could.

COMMON MISTAKE

Treating scalping as an easier route into trading because the stops are small. Small stops mean small losses per trade, but a fast cycle and a fixed toll mean losses accumulate quickly. Scalping is the advanced course, not the beginner's shortcut.

What "mastery" means in this course

Mastery here is not predicting price to the pip. Nobody does that. It means four precise things:

1. **Precise knowledge of your costs** — your all-in round-trip toll, measured, written on a card.
2. **A precisely defined setup** — the four-step 5-minute plan, with every condition stated so that two honest people watching the same chart would agree whether it triggered.
3. **Precise execution** — orders chosen in advance, stops attached at entry, size pre-set, the emergency exit rehearsed.
4. **Precise limits on your behaviour** — a daily loss limit, a trade cap, a consecutive-loss breaker and a session that ends by the clock.

The course is built in that order. Module 1 handles costs, sessions and pairs. Module 2 builds the four-step 5-minute plan. Module 3 covers 1-minute execution, candle triggers and trade management. Module 4 builds the operating system around you: limits, psychology, journaling, and a capstone playbook with complete worked trades — including losers and a session where the correct number of trades was zero.

Going deeper

For experienced traders, three points that are often misunderstood.

Scalping is a variance problem disguised as a speed problem. Because each trade risks a small amount, people assume scalping is low risk. Per trade, it is. Per session, it is not. Six trades at 0.5% risk can lose 3% in a morning; the same trader on a 4-hour chart might take three weeks to do that. What matters is how fast your daily distribution of outcomes is sampled, and scalping samples it very quickly. That is why the daily limit, not the per-trade stop, is the scalper's most important risk control.

Your edge has to survive a toll that other formats barely notice. If a strategy has a modest positive expectancy before costs — say a hypothetical +0.15R per trade — a 4-hour trader paying a toll of 0.02R keeps almost all of it. A scalper paying 0.2R per trade turns the same raw edge into a loss. Many people's 1-minute "edges" are real; they are just smaller than the toll.

Sample sizes arrive fast, which is the one genuine advantage. A swing trader needs two years to collect 200 trades. A scalper on a simulator can collect them in a couple of months. That makes scalping unusually testable. Use that advantage: the method in this course is designed to be logged, measured and judged on a few hundred simulated trades before any money is involved.

THE RULES

- Scalp only if you can commit two uninterrupted hours inside the London or London–New York window
- Trade one written setup, on one pair, in one session — no improvisation
- Measure your all-in round-trip cost before you take a single live scalp
- Every scalp has a stop attached at entry and a fixed target set in R
- Simulate first: at least 200 logged trades before any live risk

Summary

- Scalping is many small, short trades on M1 and M5, with single-digit-pip stops and targets fixed in R, judged inside the session.
- The defining ratio is cost and error as a fraction of target; small targets concentrate cost rather than reducing it.
- The format demands unbroken time, cheap execution, one rehearsed setup, emotional durability and hard limits — all at once.
- Most traders should not scalp; concluding that from honest testing is a success, not a failure.
- This course gives one complete method — the 4-step 5-minute plan — and the arithmetic and discipline to judge it.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which of these best fits this course's strict definition of a scalp?

   A. Two trades a day, each held for three hours

   B. A swing trade closed early because it moved against you

   C. A defined trigger, a 5–8 pip stop on EUR/USD, a target fixed in R, resolved within the session

   D. Any trade taken on the 1-minute chart

2. A scalper targeting 7.5 pips enters one pip late. Roughly what share of the target has that error cost?

   A. About 1%

   B. About 5%

   C. About 13%

   D. About 50%

3. In the 'one session, many decisions' chart, the second long is stopped out after a valid entry. What is the correct verdict?

   A. The entry was wrong because it lost

   B. The stop should have been moved lower

   C. It was a correct decision with a losing outcome

   D. The trader should double size on the next trade

4. Why is the daily loss limit described as the scalper's most important risk control?

   A. Because per-trade stops are unreliable on M1

   B. Because scalping samples the daily outcome distribution very quickly, so losses can stack within hours

   C. Because brokers require it

   D. Because it guarantees a profitable month

5. A trader can only trade between 21:00 and 23:00 UK and wants to scalp EUR/USD. What does this lesson suggest?

   A. Scalp anyway with wider stops

   B. That window is thin and relatively expensive for EUR/USD; trade a slower format instead

   C. Use the 1-minute chart to compensate

   D. Trade five pairs to find more setups

The Cost Maths — Spread, Commission, Slippage and Your Break-Even Win Rate.

MODULE 1 — THE HONEST ARITHMETIC · LESSON 2

Calculate your all-in round-trip cost, express it in R, and work out the break-even win rate it forces on any stop and target before you take a scalp.

Every trade you take pays a toll at the gate: the spread, any commission, and whatever slippage happens between the price you wanted and the price you got. For a trader holding positions for days, the toll is a rounding error. For a scalper it is the most important number in the business — more important than the entry pattern, the indicator settings or the pair.

This lesson does the arithmetic in the open. By the end you will have one number written on a card — your all-in round-trip cost in pips — and you will know exactly what that number does to the win rate your scalping needs just to stand still. If the answer is uncomfortable, better to find out here than six months into a live account.

All numbers in this lesson are illustrative. They sit in a realistic range for a raw-spread retail account on a major pair, but your broker, pair and hours will differ, and part of the job is measuring your own.

The three parts of the toll

Spread. The gap between the bid and the ask. You buy at the ask and sell at the bid, so every round trip — in and out — pays the spread once. On a raw-spread account during busy London hours, EUR/USD might typically show 0.1 to 0.3 pips. On a "no commission" standard account it might show 0.8 to 1.2 pips, because the broker's charge is folded into the spread.

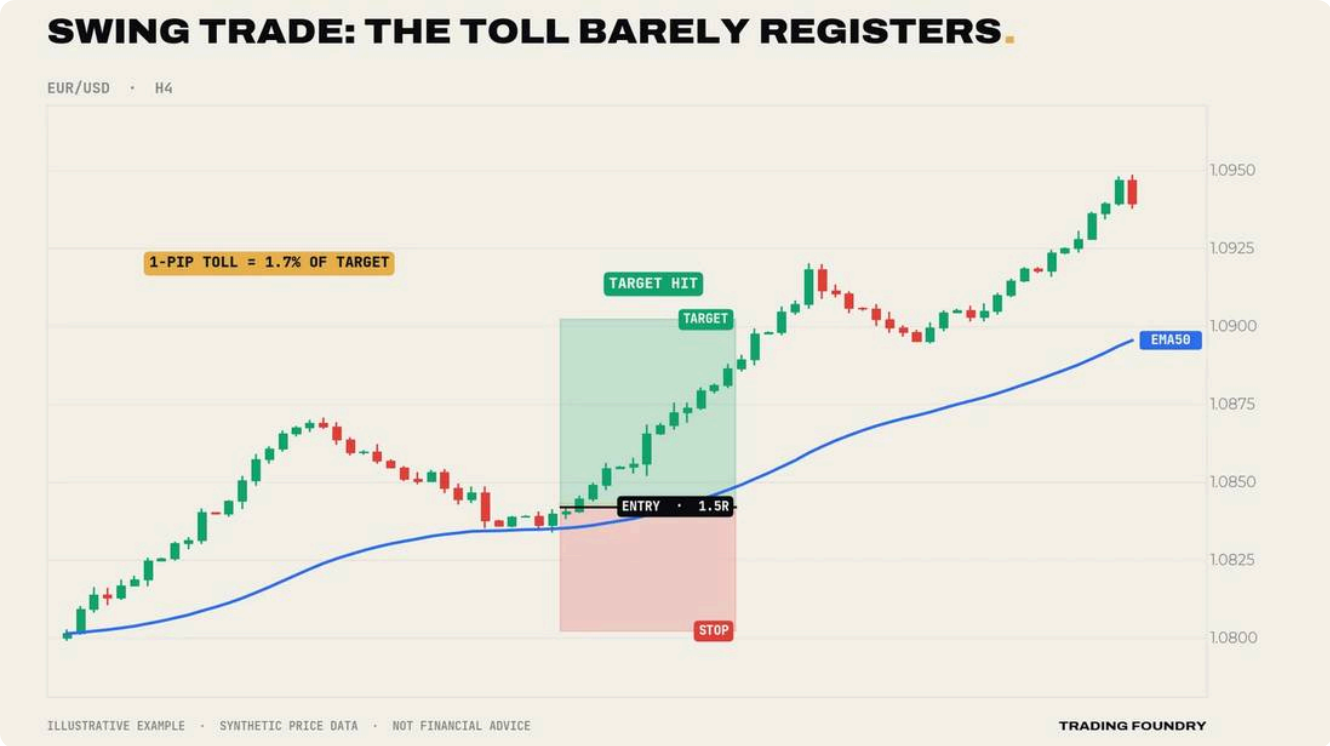
Commission. Raw-spread accounts charge a fee per lot instead. A common structure is about $7 per standard lot per round turn. On EUR/USD, where one pip on one standard lot is worth $10, that is 0.7 pips. Notice the conversion, because it changes by pair — more on that in Going deeper.

Slippage. The difference between the price you clicked and the price you were filled. It is not printed on any rate card, and it is largest at exactly the moments scalpers like to trade: session opens, fast breaks and stop runs. You only learn your slippage by logging intended price against filled price on every trade.

Add them and you get the all-in round-trip cost. For our illustrative EUR/USD scalper trading the London window on a raw account: 0.2 spread + 0.7 commission + 0.1 average slippage = **1.0 pip**. That is the number we will use throughout the course. Write yours down when you have measured it.

Same toll, different targets

Here is why that 1.0 pip matters so much more to a scalper than to anyone else.



A 4-hour trade risking 40 pips to make 60. The one-pip round-trip toll is the thin amber sliver at the entry line — you can barely see it, and it costs about 1.7% of the target. At this scale, costs are a rounding error.



A 5-minute scalp risking 5 pips to make 7.5. The same one-pip toll — the amber band above entry — is now a visible slab of the reward: 13% of the target and 20% of the risk. Identical broker, identical pair, around eight times the burden.

The swing trader pays 1 pip against a 60-pip target: 1.7%. The scalper pays 1 pip against a 7.5-pip target: 13%. Against the 5-pip stop it is 20% — a fifth of a full loss, paid on every trade, win or lose. The market charges everyone the same entry fee; the scalper simply buys a much smaller ride with it.

KEY POINT

Express your toll in R. A 1-pip cost on a 5-pip stop is 0.2R — paid on every single trade, before the market does anything.

What costs do to your break-even win rate

Now the uncomfortable part. Let **S** be your stop in pips, **T** your target in pips and **C** your all-in cost in pips. After costs, a winner nets T − C and a loser costs S + C. The win rate at which you exactly break even is:

Break-even win rate = (S + C) ÷ (S + T)

Or, in R terms, with R = T ÷ S as your reward-to-risk and c = C ÷ S as your cost in R:

Break-even win rate = (1 + c) ÷ (1 + R)

Three worked examples, all illustrative:

- **The classic "5 and 5" scalp** with a 1.3-pip toll: (5 + 1.3) ÷ (5 + 5) = **63%**. Without costs it would be 50%. The toll alone moved the bar thirteen points.
- **This course's plan**: 5-pip stop, 1.5R target (7.5 pips), 1.0-pip toll: (5 + 1) ÷ (5 + 7.5) = **48%**. Without costs, 40%.
- **A tight 1-minute scalp**: 3-pip stop, 4.5-pip target, same 1.0-pip toll: (3 + 1) ÷ (3 + 4.5) = **53%**. Shrinking the stop made the trade *harder* to win with, not easier.

That third example deserves a moment. The beginner's instinct — "use a tighter stop and take quicker profits, it's safer" — is exactly backwards for a scalper. A tighter stop makes the fixed toll a larger fraction of R, which pushes the required win rate up.

Here is the full table. Read across for your target in R; read down for your cost in R.

COST IN R (C)	TARGET 1R	TARGET 1.5R	TARGET 2R
0 (no costs)	50%	40%	33%
0.1	55%	44%	37%
0.2	60%	48%	40%
0.3	65%	52%	43%
0.5	75%	60%	50%

Two patterns stand out. First, every 0.1R of cost adds roughly four to five percentage points to the win rate you need at 1R or 1.5R. Second, a cost of 0.5R — which is what a 2-pip toll on a 4-pip stop gives you — makes a 1R scalp need 75% winners. Very few repeatable strategies live there.



The same 1.0-pip toll on a 3-pip stop. The trade still reaches its 1.5R target, but the cost band is now a third of the risk. The break-even win rate climbs from 48% to about 53%. Tighter stops feel safer and are, per trade — but they make the arithmetic harder, not easier.

The 5x rule

To keep the arithmetic workable, this course uses one simple constraint: **your stop must be at least five times your all-in round-trip cost.** That caps your cost at 0.2R or below. With a 1.0-pip toll, the minimum stop is 5 pips; with a 1.4-pip toll on GBP/USD, it is 7 pips.

If the chart's logical stop is closer than that, you cannot shrink the cost, so you have two honest options. Either place the stop at the minimum distance — further from price than the structure strictly requires, with position size reduced so the money at risk is unchanged — and accept that the 1.5R target is now further away too. Or, if the market does not have room for that larger target, skip the trade. What you may not do is keep the tight stop and pretend the toll is someone else's problem. A setup that only works with a 3-pip stop on a 1-pip toll is not a setup you can afford.

COMMON MISTAKE

Choosing a tight stop because it allows a bigger position size. Size is not the problem; the toll is. The same 0.5% account risk on a 3-pip stop pays proportionally far more in costs than on a 6-pip stop.

Slippage: the cost nobody quotes you

Spread and commission are known before you trade. Slippage is not, and it concentrates exactly where scalping opportunities appear.



A buy-stop order placed at the level marked 'Order price' fires into a fast opening candle and fills 1.2 pips higher. On a 5-pip stop that single fill adds 0.24R of cost to this trade — more than the spread and commission combined. You only find out what this costs you by logging intended against filled price on every trade.

Three practical consequences follow.

1. **Measure it.** Log intended price and filled price for every trade, entry and exit. Your real cost base is unknowable without it.
2. **Prefer orders that cap it where your setup allows.** A limit order caps entry slippage at zero, at the price of sometimes not being filled. Lesson 7 covers that trade-off.
3. **Treat news as a cost event, not an opportunity.** Around scheduled high-impact releases, spreads can widen to many times normal for seconds or minutes. A 4-pip spread on a 7.5-pip target is not a trade; it is a donation.



A scheduled US release whips price 20 pips in both directions inside two candles. During that window spreads can briefly reach many times normal and stops can fill well beyond their level. For a 7.5-pip target, no entry idea is good enough to pay that toll. The scalper is flat before the release and waits for spreads to normalise after it.

The cost audit

Before you scalp a single unit of real money, do this homework. It takes two weeks of a few minutes a day.

1. Open a demo or small live account with the broker you intend to use.
2. At the times you intend to trade, record the actual spread on your chosen pair every 15 minutes for ten trading days.
3. Convert the commission into pips at your intended size and pair.
4. Run 20 practice orders and log intended versus filled price.
5. Write one number on a card: your all-in round-trip cost, using a bad-but-normal case (the 80th or 90th percentile of your spread readings, not the average).

Then hold that card against the 5x rule. If your cost is 1.0 pip, your minimum stop is 5 pips and your minimum 1.5R target is 7.5 pips. If the setups you see on your pair rarely need stops that wide, or the moves rarely travel that far in your window, the format does not fit your costs. Change the broker, change the pair — or, honestly, change the format.

Going deeper

Commission converts differently by pair. $7 per lot round turn is 0.7 pips on EUR/USD and GBP/USD, where a pip is worth $10 per lot. On USD/JPY at 150.00, a pip on one lot is worth about $6.67, so the same $7 is about

1.05 pips. On some crosses it is higher still. Always convert commission into pips for the specific pair before you compare brokers or pairs.

Averages flatter you. A spread that averages 0.2 pips but sits at 0.6 pips for the first five minutes of the London open is a 0.6-pip spread for most of your entries, because that is when your entries happen. Measure cost at the moment you trade, not across the day.

Expectancy is fragile to small cost changes. Take a hypothetical strategy that wins 52% of the time at a 1.5R target. With a toll of 0.2R, each winner nets 1.3R and each loser costs 1.2R: expectancy = 0.52 × 1.3 − 0.48 × 1.2 = **+0.10R per trade**. Double the toll to 0.4R (a standard account with a 2-pip all-in cost) and the same trading gives 0.52 × 1.1 − 0.48 × 1.4 = **−0.10R per trade**. The pattern, the discipline and the trader are identical; the sign flips on the account type. These numbers are invented to show the mechanism, not a claim about any strategy.

Cost per hour matters too. Two scalpers with the same per-trade cost and edge differ if one takes six trades a session and the other takes fifteen. If the extra nine trades are lower quality, they pay the full toll for less edge. Lesson 10 turns this into a trade cap.

THE RULES

- Know your all-in round-trip cost (spread + commission + measured slippage) in pips before trading
- Minimum stop = 5x round-trip cost, so cost never exceeds 0.2R
- If the structural stop is closer than the minimum, widen to the minimum (sizing down) or skip — never trade the tight stop
- Log intended versus filled price on every entry and exit
- Be flat before scheduled high-impact news and wait until spreads normalise afterwards

Summary

- Your toll is spread + commission + slippage, measured in pips per round trip; our illustrative EUR/USD figure is 1.0 pip.
- The same toll is a rounding error on a swing trade and a fifth of the risk on a 5-pip scalp.
- Break-even win rate = (1 + c) ÷ (1 + R): costs push it up, and tighter stops push it up further.
- The 5x rule keeps cost at or below 0.2R; a tighter structural stop is widened to the minimum or the trade is skipped.
- Slippage concentrates at opens, breaks and news — log it, and treat news windows as cost events.

CHECK YOURSELF · ANSWERS AT THE BACK

1. With a 6-pip stop, a 9-pip target and a 1.2-pip all-in cost, what is the break-even win rate?

   A. 40%

   B. 48%

   C. 52%

   D. 60%

2. A trader tightens their stop from 5 to 3 pips and keeps a 1.5R target and a 1.0-pip cost. What happens to the break-even win rate?

   A. It falls, because losses are smaller

   B. It stays the same, because R is unchanged

   C. It rises, because cost becomes a larger fraction of R

   D. It cannot be calculated

3. Your all-in cost on GBP/USD is 1.4 pips. Under the 5x rule, what is your minimum stop?

   A. 5 pips

   B. 7 pips

   C. 10 pips

   D. 14 pips

4. Which part of the toll can you only discover by logging your own fills?

   A. Spread

   B. Commission

   C. Slippage

   D. Pip value

5. In the slippage chart, a buy-stop fills 1.2 pips above the order price on a 5-pip-stop trade. How much extra cost is that in R?

   A. 0.12R

   B. 0.24R

   C. 1.2R

   D. It is not a cost because the trade may still win

6. A hypothetical strategy has positive expectancy on a raw-spread account but negative expectancy on a standard account with the same trades. What is the most likely reason?

   A. The standard account has worse charts

   B. The higher all-in toll in R flipped the sign of a small edge

C. Standard accounts fill winners slower

D. This cannot happen if the strategy is good

Sessions and Pairs — Buying the Cheapest Fuel.

MODULE 1 — THE HONEST ARITHMETIC · LESSON 3

Choose one scalping pair and one session window using the spread-to-movement test, and build a news blackout calendar you never trade through.

Lesson 2 established that the toll is fixed and the target is small. This lesson is about getting the most movement for that toll. A scalper pays roughly the same cost per trade whether the market is busy or asleep, so the question becomes: when, and on what, does that toll buy the most opportunity?

The answer is narrower than most traders expect. One major pair, perhaps two. One session window, defined to the minute. And a calendar of hours you never trade, however tempting the chart looks. That narrowness is not a limitation. Every variable you remove is a decision you no longer have to get right thirty times a morning.

The pulse of the forex day

The forex market trades around the clock, but it does not pay attention around the clock. On the European pairs, the day has a pulse with three distinct phases.

The Asian session (roughly midnight to 08:00 UK in winter, an hour earlier in summer) is typically quiet for EUR/USD and GBP/USD. The desks that dominate those pairs are mostly asleep. Ranges are narrow, movement is choppy, and spreads on some accounts are wider than in the European day.

The London open (08:00 UK) brings the first genuine surge of volume. Price frequently breaks out of the overnight range, sometimes after a false start in the opposite direction, and the first two to three hours often set the tone for the day.

The London–New York overlap (roughly 13:00 to 16:30 UK) is when both major centres trade at once. It frequently brings the day's deepest liquidity and its second burst of direction, with US economic data typically landing at 13:30 UK.



A full trading day on the 15-minute chart. Eight hours of Asian trading produce a 10-pip range. The London open breaks it — after a brief dip below — and the overlap delivers the second leg. Then the market drifts. A scalper pays the same toll in every one of these hours; only two of the windows give it much to work with.

Session choice is cost control with a clock on it

Tight spreads come from deep liquidity. Worthwhile moves come from active participation. Both cluster in the same few hours. Scalping a quiet session means paying the full toll for a market going nowhere; scalping the busy hours means the same toll buys more movement per trade.

This course trades two windows, and you choose **one** of them to start:

- **London window:** 08:00 to 10:30 UK.
- **Overlap window:** 13:00 to 15:30 UK.

Choosing a window means choosing fixed working hours and refusing to trade outside them. The scalper who "just has a quick look" at 21:00 is trading a thinner, more expensive market with a tired brain — three separate mistakes in one dressing gown.

KEY POINT

Pick one window and treat its start and end times as part of the strategy. A setup outside your window is not your setup.



A common London-open shape: price dips through the Asian low, triggers the stops resting there, then reverses and travels in the opposite direction. The lesson for a scalper is not to fade or chase the first push but to wait for structure and the M5 trend filter to form — usually 15 to 30 minutes into the session.

The first fifteen minutes of a session deserve special care. Spreads are often still settling, slippage is at its worst, and the first push is frequently a stop run rather than the day's direction. Our plan needs an M5 trend with stacked moving averages and a pullback (Module 2), so in practice it rarely triggers in the first fifteen minutes anyway. That is a feature, not a bug.

Choosing the pair: the spread-to-movement test

Given Lesson 2, pair selection is barely a choice. You need the tightest spread, the deepest liquidity and reliable intraday movement. The test is mechanical: divide a typical 5-minute candle range during your window by the typical spread during that window. You want the market to move many multiples of its own spread inside your holding period.

PAIR (ILLUSTRATIVE, BUSY HOURS)	TYPICAL RAW SPREAD	TYPICAL M5 RANGE	MOVEMENT ÷ SPREAD
EUR/USD	0.2 pips	4 pips	20x
USD/JPY	0.3 pips	5 pips	17x
GBP/USD	0.5 pips	6 pips	12x
EUR/GBP	0.6 pips	2.5 pips	4x
An exotic cross	4 pips	9 pips	2x

These numbers are illustrative — measure your own — but the ranking is typical. EUR/USD usually sits at the top for retail traders: the tightest spread and enormous liquidity. USD/JPY combines tight pricing with activity

in both Asian and New York hours. GBP/USD moves more per candle at a wider spread, which is why its minimum stop under the 5x rule is larger. Beyond those three the case weakens quickly. An exotic cross can look exciting on the chart and still give you less movement per pip of toll than EUR/GBP.

One pair is enough. Two is defensible if their active hours differ. Watching five pairs on 1-minute charts is not diversification; it guarantees you are half-focused on everything.

COMMON MISTAKE

Choosing a pair because it "moves a lot". Movement only matters relative to the toll. A pair that moves 9 pips per candle with a 4-pip spread is a worse scalping market than one that moves 4 pips with a 0.2-pip spread.

The calendar is part of the session

Scheduled high-impact news sits inside your session like a speed bump in a bus lane. Central bank decisions, inflation prints and US employment data can move price 20 pips in seconds, with spreads widening sharply and stops filling well beyond their levels. For a 7.5-pip target, the release window is a cost catastrophe.

The rule writes itself:

1. Check the economic calendar before every session.
2. Mark every high-impact release for both currencies in your pair.
3. Be flat **15 minutes before** each release. Spreads often widen in anticipation.
4. Do not trade again until **15 minutes after**, and only once the spread is back to its normal reading — not merely when the candles look calmer.



A pullback setup begins to form at 13:20 — inside the blackout window around 13:30 US data. The plan skips it without debate. The release candles that follow range 20 pips in both directions; any 5-pip stop would have been filled wherever the market chose. Fifteen minutes after the release, once spreads have normalised, the plan is live again.

Practice drill



It is 03:40 UK. EUR/USD shows stacked moving averages and a pullback. Would the plan take a long here?

THE REVEAL



THE ANSWER

No trade. The EMAs are stacked and price has pulled back, so the pattern resembles the plan — but it is 03:40 UK, outside both windows. The whole session so far has ranged about 10 pips, and the average M5 candle is under 2 pips. A 7.5-pip target would need three-quarters of the night's entire range. What followed was the usual Asian drift: price slid back through both averages, and a 5-pip stop under the pullback would have been taken out without the target ever coming close. The pattern was fine; the clock was wrong.

Know your window's personality — with your own data

Sessions differ in character as well as volume, and your setup will not perform equally across them. A trend-pullback play may thrive in the London drive and struggle in the late-overlap drift. You cannot take this on trust from any course, including this one, because it varies by pair, by setup and by year. You have to measure it.

The method is simple and tedious, which is the correct combination. Timestamp every simulated trade. After a couple of hundred, break results out by half-hour. Most traders who do this honestly find their results are not evenly spread: a few half-hours carry the performance, several are noise, and one or two are actively destructive. Stop trading the destructive ones. Every trade you do not take in a bad half-hour is toll avoided and attention saved.

Going deeper

Daylight saving shifts the overlap. The UK and US change their clocks on different dates in spring and autumn. For a couple of weeks each year, New York opens an hour earlier relative to London, so the overlap

and the 13:30 data release move to 12:30 UK. If your window is defined in UK time, re-check it in March and in late October.

Spread is a regime indicator. Your spread reading is a live measurement of liquidity. If your normal London-open spread is 0.2 pips and today it is sitting at 0.6, something is different — a holiday in one centre, a pending announcement, thin conditions. Treat any spread above your measured normal as a stand-down signal, not merely a cost.

Bank holidays and half-days. When London or New York is closed, the overlap does not really exist. Liquidity thins, ranges compress and spreads widen. Many scalpers simply do not trade those days, which removes a handful of the most expensive sessions of the year at a stroke.

USD/JPY in the overlap. For traders whose window is the afternoon, USD/JPY can be a sensible alternative to EUR/USD: it is active during US hours and responds cleanly to US data. Remember Lesson 2's point that its commission converts to more pips because the pip value is lower, and recalculate your minimum stop.

One pair per session, on purpose. It is tempting to watch EUR/USD and GBP/USD side by side to "double the opportunities". In practice the two are closely correlated during London hours, so the second chart mostly shows you the same setup twice, at a different cost, while splitting your attention in half. Two correlated positions are also one larger position in disguise. Pick the pair that passes your spread-to-movement test for the window, and give it all of your attention for the full session.

THE RULES

- Trade one pair (two at most, only if their active hours differ) on raw-spread pricing
- Trade only inside your chosen window: 08:00–10:30 UK or 13:00–15:30 UK
- No trades in the first 15 minutes of the London window while spreads settle
- Be flat 15 minutes before and stay flat until 15 minutes after any high-impact release for either currency
- Stand down whenever the live spread is above your measured normal

Summary

- The forex day has a pulse: a quiet Asian session, a London open surge and a London–New York overlap.
- The scalper's toll is fixed, so trade only the windows where it buys the most movement: 08:00–10:30 or 13:00–15:30 UK.
- Choose pairs by movement divided by spread; EUR/USD, USD/JPY and GBP/USD typically lead.
- News releases are cost events: flat 15 minutes before, wait 15 minutes and a normal spread after.
- Measure your own results by half-hour and stop trading the windows that do not work for your setup.

CHECK YOURSELF · ANSWERS AT THE BACK

1. A pair shows a typical M5 range of 9 pips and a 4-pip spread during your window. Another shows 4 pips and 0.2 pips. Which is the better scalping market?
   A. The first, because it moves more
   B. The second, because it moves 20x its spread versus about 2x
   C. Neither — scalping needs exotics
   D. They are equivalent
2. US employment data is due at 13:30 UK. Under this lesson's rules, when may you next open a new scalp after 13:10?
   A. Any time if the setup is A-grade
   B. At 13:30 exactly, to catch the move
   C. From 13:45, and only once the spread is back to normal
   D. Not until the next day
3. In the drill chart at 03:40 UK, why is the stacked-EMA pullback not a trade?
   A. The EMAs were not stacked
   B. It is outside the trading window and the session's range is too small for a 7.5-pip target
   C. The stop would be too wide
   D. Pullbacks only work on GBP/USD
4. What does the 'London open' chart suggest about the first push of the session?
   A. Always trade the first breakout immediately
   B. Always fade the first breakout
   C. It is often a stop run; wait for structure and the trend filter to form
   D. The first push sets the exact high of the day
5. Your normal London-open spread on EUR/USD is 0.2 pips. Today it reads 0.6 pips at 08:30 with no news scheduled. What should you do?
   A. Trade normally — 0.6 is still small
   B. Stand down until it returns to normal: something about today's liquidity is abnormal
   C. Double the target to compensate
   D. Switch to the 1-minute chart

Steps 1 and 2 — Higher-Timeframe Bias and the EMA Trend Filter.

MODULE 2 — THE 4-STEP 5-MINUTE PLAN · LESSON 4

Set a one-direction bias from the H1 chart, check there is room to trade, and confirm it with the M5 20/50 EMA filter before you look for any entry.

Most scalping losses are not caused by bad entries. They are caused by good-looking entries in the wrong direction, or in a market with no direction at all. On a 5-minute chart, almost anything can be made to look like a setup if you squint. The first two steps of the plan exist to stop you squinting.

Step 1 decides which way you are allowed to trade today, using the 1-hour chart. **Step 2** checks that the 5-minute chart agrees, using two exponential moving averages. Only when both say the same thing do you move on to Step 3 and start looking for a trigger. If either says "no", the correct number of trades is zero, and that is a perfectly good session.

The four steps, in one line each

Before we start, here is the whole plan so you can see where these two steps sit:

1. **Bias (H1):** decide long-only, short-only, or no trading.
2. **Trend filter (M5):** the 20 EMA and 50 EMA must be stacked and sloping in the bias direction.
3. **Pullback trigger (M5):** price pulls back into the 20–50 EMA band and prints a trigger candle back in the trend direction.
4. **Fixed-R exits:** stop beyond the pullback, target at 1.5R, both set at entry.

Steps 1 and 2 are filters: they remove trades. Step 3 is the only step that creates one. That order matters. A trader who starts with the trigger and then looks for reasons to accept it will always find them.

Step 1 — The H1 bias

Before your window opens, look at the 1-hour chart of your pair with a 50-period EMA. You are answering one question: which direction has the structure been moving, and is price on the right side of the average?

Long-only bias requires both:

- The last H1 candle closed **above** the H1 50 EMA.
- The H1 swing structure is rising: the most recent swing high is above the one before, and the most recent swing low is above the one before (higher highs and higher lows).

Short-only bias is the mirror: close below the H1 50 EMA, with lower highs and lower lows.

Anything else is no bias. Price above the average but structure making lower highs? No bias. Higher highs but price sitting on the average? No bias. No bias means no trades in your window today. You do not "trade both ways and see".



The H1 chart before the London window. Price is above a rising 50 EMA and each swing high and swing low is higher than the last. Today's bias is long-only: on the 5-minute chart, the plan will only look for buys. Short setups are not 'counter-trend opportunities'; they are simply not on the menu.

Why the 1-hour chart? Because it is high enough to smooth out the noise of the 5-minute chart but low enough to reflect the current day's flow. A daily chart bias is often too slow — the daily trend can be up while the last eight hours have been a firm sell-off. A 15-minute bias is too fast; it flips several times a session and becomes the same noise you are trying to filter.

The room check

One more test belongs in Step 1. Mark the nearest H1 levels in the direction of your bias: the previous day's high, the most recent H1 swing high, and any round number ending in 00 or 50. If the nearest of those is closer than **twice your typical target** — about 15 pips on EUR/USD with a 7.5-pip target — there is not enough room for the scalp to work before it runs into a level where sellers have reason to appear.

This is not a prediction that price will reverse there. It is a cost judgement. A trade that has to break through a major level to reach its target is a lower-probability trade paying the same full toll.

KEY POINT

Step 1 removes half of all possible trades before the window opens: you trade one direction, or none. Most scalping damage happens on the other half.

Step 2 — The M5 EMA trend filter

Now drop to the 5-minute chart with a 20 EMA and a 50 EMA. The H1 bias said "long-only". The filter asks whether the 5-minute market is actually trending up right now, or whether the higher-timeframe story has paused.

For longs, all four conditions must hold:

1. The **20 EMA is above the 50 EMA**.
2. **Both are sloping up** — each is higher than it was six candles (30 minutes) ago.
3. There is **visible separation**: on EUR/USD, at least 2 pips between the two averages. Averages that are touching are not stacked; they are tangled.
4. Price has made a **fresh M5 swing high within the last 12 candles** (one hour). A trend that has not made a new high for an hour is at best resting.

For shorts, mirror every condition.



A 5-minute chart that agrees with the H1 bias. The 20 EMA is above the 50, both are rising, there is clear daylight between them, and price made a fresh swing high within the last hour. The filter has passed. Note that it has not produced a trade — it has simply given permission to look for one.

The four conditions do different jobs. Stacking tells you direction. Slope tells you the direction is current rather than historical. Separation tells you the trend has enough momentum to produce a pullback that ends, rather than a chop that wanders. And the fresh high tells you the buyers are still winning recently, not just on average.

Why the 20 and the 50? There is nothing magic about the numbers. The 20 EMA on M5 covers the last hundred minutes and responds quickly; the 50 covers roughly four hours and moves slowly. Together they

describe "the trend of this session" and "the trend of the day so far". Other pairs of averages would work similarly. What matters is that you choose one pair and never change it mid-test.



Price swings 6 to 8 pips up and down while the 20 and 50 EMAs flatten and weave through each other. There is no stacking, no slope and no separation. Every 'pullback' here is just the other side of a range. A scalper paying a 1-pip toll in this market is funding the broker's afternoon. The filter's verdict is no trade, however many candle patterns appear.

When the two steps disagree

The most common situation is not a clean pass or a clean fail. It is disagreement: the H1 bias is long, but the 5-minute chart is falling, with the 20 EMA below the 50.

That is not a short signal. Shorting would be trading against your Step 1 bias. Nor is it a long signal — buying a falling 5-minute market because the hourly chart is up is the classic way to catch a pullback that turns into a reversal. It is a **wait**. The 5-minute chart may well turn back up, the averages restack, and the plan comes alive. Or the H1 bias may break. Either way, the market will tell you; you do not have to guess.



The H1 bias is long, but the 5-minute chart has been falling for two hours with the 20 EMA below the 50. The plan does not short (against bias) and does not buy (against the filter). It waits. If the 5-minute averages restack upward the plan comes back to life; if the H1 structure breaks, today's bias is cancelled.

COMMON MISTAKE

Using the higher timeframe as a reason to buy a falling 5-minute chart — "the hourly is up, so this dip must be a buy." Sometimes it is. Often it is the first leg of the hourly trend ending. The filter exists precisely so you do not have to decide which.

Doing it in two minutes

None of this should take long. Before the window opens:

1. Open H1. Is the last close above or below the 50 EMA? Are the last two swing highs and lows rising, falling or mixed? Write the bias: **LONG**, **SHORT** or **NONE**.
2. Mark the nearest H1 levels in the bias direction. Is there at least 15 pips of room (twice the target)? If not, write **NONE**.
3. During the window, before each candidate: on M5, are the averages stacked, sloping, separated, with a fresh extreme in the last hour? Yes or no.

Write the bias on a sticky note on your screen. It is remarkably hard to take a short with "LONG ONLY" stuck to the monitor.

Going deeper

What the filter costs you. Every filter removes good trades as well as bad ones. Requiring a fresh M5 high within the hour will occasionally exclude the first pullback of a new trend, which can be the best one of the day. That is acceptable. A scalper does not need every good trade; it needs the trades it takes to be drawn from a cleaner population. Test any relaxation of the filter over at least 100 simulated trades before adopting it.

Bias changes during the session. If the H1 chart prints a close back below its 50 EMA during your window, the long bias is suspended for the rest of the session. Do not re-derive a short bias mid-session from the same chart that was bullish an hour ago; that is how traders end up flipping direction three times in a morning and paying the toll on each flip.

Regime awareness. The filter works best in sessions with directional flow — typically the London drive and the first part of the overlap. On days when the H1 chart is ranging inside a tight daily range (for example, the day before a major central bank decision), you will see Step 1 return NONE more often. That is the plan doing its job: the correct response to a market with no intraday direction is not a cleverer setup but fewer trades.

Why not more indicators? Adding RSI, MACD or a third average does not make the filter more accurate; it makes it slower to read and easier to rationalise. Two averages and one structure check, readable in seconds, beat a dashboard you have to interpret.

THE RULES

- Bias from H1 only: long-only above the 50 EMA with higher highs and higher lows; short-only below with lower highs and lower lows; otherwise no trading
- No trade if the nearest H1 level in the bias direction is closer than twice your target
- M5 filter for longs: 20 EMA above 50 EMA, both rising over six candles, at least 2 pips apart (EUR/USD), fresh swing high within 12 candles — mirror for shorts
- If H1 bias and M5 filter disagree, wait — never trade against either
- If the H1 bias breaks during the session, stop for the rest of the session

Summary

- Steps 1 and 2 are filters that remove trades; only Step 3 creates them.
- H1 bias: above the 50 EMA with HH/HL for long-only, the mirror for short-only, anything else means no trades.
- The room check rejects trades with less than twice the target distance to the next H1 level.
- M5 filter: 20 over 50, both sloping, separated, with a fresh extreme in the last hour.
- When H1 and M5 disagree, the plan waits; it never trades against either.

CHECK YOURSELF · ANSWERS AT THE BACK

1. The last H1 close is above the 50 EMA, but the latest H1 swing high is lower than the previous one. What is today's bias?

   A. Long-only

   B. Short-only

   C. No bias — no trades

   D. Long on M5, short on M1

2. Bias is long and your target is 7.5 pips. The previous day's high is 9 pips above the current price. What does the room check say?

   A. Trade — there is more than one target of room

   B. No trade — there is less than twice the target (15 pips) of room

   C. Trade with a 9-pip target instead

   D. Switch to short

3. On M5 the 20 EMA is above the 50, both are rising, but they are 0.5 pips apart and price last made a new high 90 minutes ago. Does the filter pass?

   A. Yes — the 20 is above the 50

   B. No — separation is under 2 pips and there is no fresh high within 12 candles

   C. Yes, if the H1 bias is long

   D. Only on GBP/USD

4. In the 'H1 says long, M5 says down' chart, what does the plan do?

   A. Shorts the M5 downtrend

   B. Buys because the H1 is bullish

   C. Waits until both agree or the bias breaks

   D. Trades both directions with half size

5. Halfway through your window, H1 closes below its 50 EMA after a long-only morning. What now?

   A. Switch to short-only

   B. Keep taking longs; bias was set this morning

   C. Stop trading for the rest of the session

   D. Move to the 1-minute chart

Step 3 — The Pullback Trigger.

MODULE 2 — THE 4-STEP 5-MINUTE PLAN · LESSON 5

Identify a valid pullback into the 20–50 EMA value band, recognise the three trigger candles, and place a stop-entry order that only fills if the market confirms.

Steps 1 and 2 told you which direction you may trade and confirmed the 5-minute trend agrees. They have not given you a single trade. Step 3 is where the plan finally asks the market to do something specific — pull back, pause, and turn — and only then commits money.

The idea is old and simple: in an established trend, buy the dips (or sell the rallies) rather than the breakouts. What makes it a scalping method rather than a slogan is precision. Where exactly is the dip? What exactly counts as the turn? Where does the order go, and what cancels it? This lesson answers each of those questions with a rule you could hand to someone else and get the same result.

The value band

On the 5-minute chart, the area **between the 20 EMA and the 50 EMA** is the value band. In a healthy trend, price tends to spend most of its time above the 20 EMA (for longs), dip towards or into the band during pullbacks, and resume.

A pullback qualifies for the plan when:

1. At least **two candles have moved against the trend** since the last swing high (for longs).
2. A candle's low has **touched or entered the band** — at or below the 20 EMA.
3. No candle has **closed below the 50 EMA**.

The third condition is the line in the sand. Wicks below the 50 EMA are tolerated; a close below it means the pullback has become something larger, and the setup is void. You then need the full Step 2 filter to reset — including a fresh swing high — before the plan is live again.

Why the band and not a fixed number of pips? Because the band adapts. On a fast morning the averages spread apart and the band widens; on a slower one it narrows. A rule like "buy a 10-pip dip" is far too deep on a quiet day and far too shallow on a busy one.

KEY POINT

Price must reach the value band without closing beyond the 50 EMA. Touching the band qualifies the pullback; closing through the far side cancels it.

The three trigger candles

Once a qualifying pullback is in place, you wait for a candle that closes back in the direction of the trend. The plan recognises three, and only three, trigger types.

1. Engulfing candle. A candle in the trend direction whose body completely covers the body of the previous counter-trend candle. For longs: it opens at or below the prior close and closes above the prior open. It shows the buyers absorbed everything the last candle's sellers offered and then some.

2. Rejection pin bar. A candle with a wick against the trend at least twice the length of its body, closing in the third of its range nearest the trend direction. For longs, a long lower wick that dipped into the band and a close near the top. It shows a probe that found no follow-through.

3. Momentum close. A candle in the trend direction that closes beyond the previous candle's extreme — above the prior high, for longs. Less dramatic than the first two, but it is the most common way pullbacks end on a 5-minute chart.

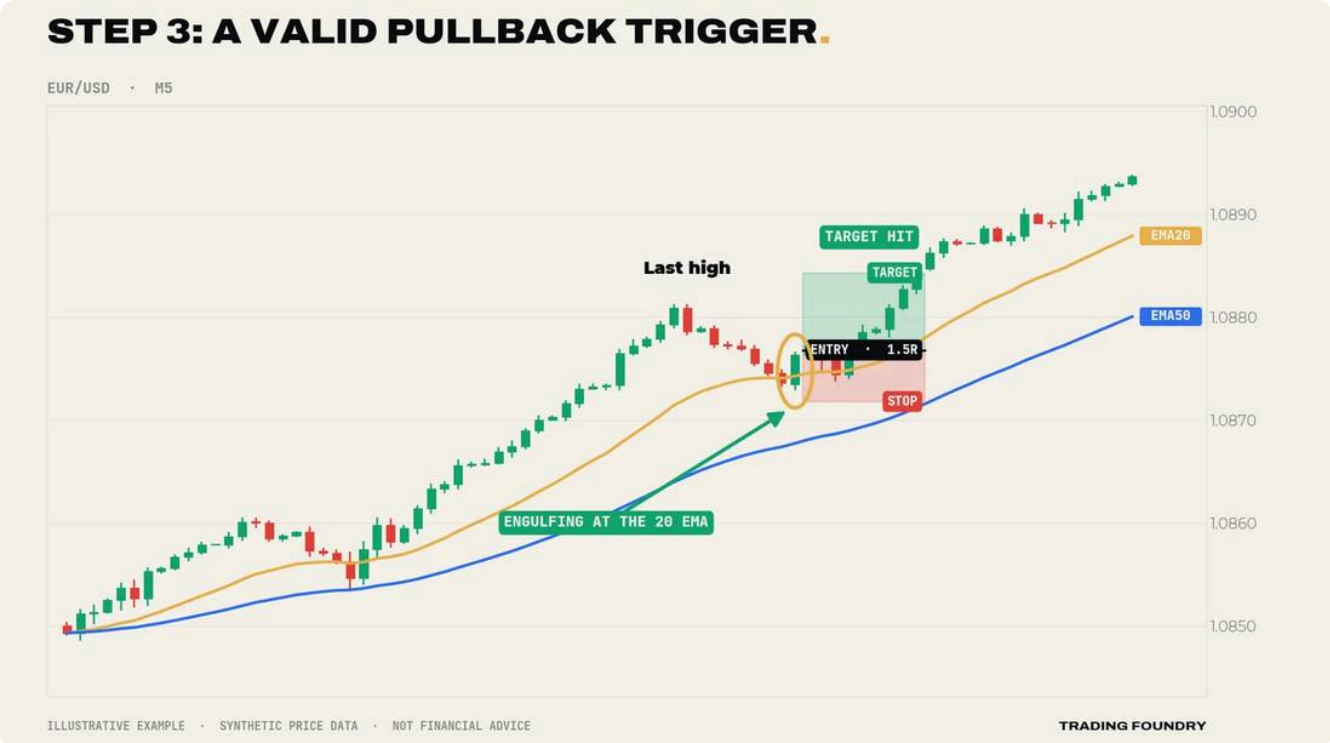
Anything else — a doji, an inside candle, a small candle that closes up but not through the previous high — is not a trigger. It might be the start of one. You wait for the next candle.

The order: a stop-entry beyond the trigger

The trigger candle does not put you in the trade. It tells you where to put the order.

- **Entry:** a buy-stop order **0.2 pips above the trigger candle's high** (sell-stop 0.2 below the low, for shorts).
- **Expiry:** if the order has not filled within **two candles** (ten minutes), cancel it.
- **Stop: 1 pip below the lowest point of the pullback**, including the trigger candle. If that is closer than your minimum (5 pips on EUR/USD at a 1.0-pip toll), widen it to the minimum and size down. If it is further than your maximum (8 pips on EUR/USD), skip the trade.
- **Target:** 1.5R from the fill, set at entry. Lesson 6 covers why this does not move.

The stop-entry is deliberate. It means the market has to prove the turn by trading through the trigger candle's high before you are involved. If the trigger fails immediately and price rolls over, your order never fills and the trade costs you nothing. That filter alone removes a good share of the triggers that would have been losers — at the cost of a slightly worse entry price on the ones that work, and a little slippage on fast candles. Lesson 7 looks at the alternatives.



The filter has passed; price pulls back from the last high for five candles and dips to the 20 EMA without going near the 50. The ringed candle engulfs the previous red candle. A buy-stop goes 0.2 pips above its high and fills on the next candle. One pip under the pullback low would be a 4.9-pip stop, so it is widened to the 5-pip minimum and size is reduced to match. The 1.5R target is reached about forty minutes later.

A valid trade that loses

Here is the same setup on a different morning. Every rule was followed.



A qualifying pullback to the 20 EMA, an engulfing trigger, a filled buy-stop and a correctly placed 5-pip stop. Price stalls for twenty minutes, then sells off through the stop and well beyond. Nothing was wrong with this trade. A method with a 1.5R target and a hypothetical win rate around half will produce losers like this roughly every other trade — the stop is the price of finding out.

There is no lesson to extract from this chart except the most important one in scalping: **a valid losing trade is not a mistake.** If you start adjusting the rules after trades like this — waiting for two triggers instead of one, moving the stop wider, skipping the next setup because "it's not working today" — you will be optimising your method against noise. Losers like this are the cost of doing business; they belong in the journal with an A grade.

COMMON MISTAKE

Judging a trigger by its outcome. A trader who takes ten valid trades and loses five has followed the plan perfectly. A trader who skips three valid trades because the previous two lost has quietly invented a new, untested strategy.

An invalid setup — the pullback that went too far

Now a case where the plan says no before any trigger appears.



Price pulls back from the high and, at the ringed candle, closes decisively below the 50 EMA. The setup is void at that moment. Three candles later a green candle appears that looks like a trigger — but there is no longer a pullback to trigger from. The 20 EMA is rolling over towards the 50, and the plan needs the full filter to reset, including a fresh swing high, before it will look for longs again.

This is where many traders lose money with a method like this one. They see the bullish candle, remember that "pullbacks in uptrends are buying opportunities", and buy. But the plan's definition of a pullback has an edge, and price has gone over it. What remains is a market that may be turning, and a trader who is guessing.

The anatomy of a short

Everything mirrors for shorts. Bias short on H1, M5 20 EMA below the 50 and falling, a rally of at least two candles whose high touches or enters the band, no close above the 50 EMA, and a bearish engulfing, upper-wick pin bar or close below the prior candle's low. Sell-stop 0.2 pips below the trigger low, stop 1 pip above the rally high (minimum and maximum applied), target 1.5R.

Practice drill



H1 bias is short. USD/JPY has rallied into the moving averages and printed the ringed candle. Does the plan sell?

THE REVEAL



THE ANSWER

Trade. H1 bias is short; on M5 the 20 EMA is well below the 50 and both are falling, with a fresh low inside the last hour. Price rallied for several candles into the band above the 20 EMA without closing above the 50 EMA, and the ringed candle is a bearish engulfing. Sell-stop 0.2 pips below its low (149.755). The rally high plus 1 pip gives a stop just under 5 pips — below the 6-pip minimum for this illustrative USD/JPY toll — so the stop is widened to 6 pips at 149.815 and size is reduced. The 1.5R target at 149.665 fills about forty minutes later.

Going deeper

Why a stop-entry rather than entering at the close? Entering at the trigger close gives a better price — typically 1 to 2 pips on EUR/USD — but includes every trigger that fails on the very next candle. The stop-entry excludes those at the cost of the better price and some slippage. Which is better is an empirical question for your pair and window. As a starting point, the stop-entry is easier to execute consistently, and consistency is worth more than a pip in the first few hundred trades.

Depth of pullback is information. A pullback that just kisses the 20 EMA in a strong trend is different from one that sinks to the 50. Shallow pullbacks tend to resume quickly but give tighter structural stops (often widened to the minimum). Deep pullbacks give more room but are closer to invalidation. Log the depth — "20", "mid-band" or "50" — on every trade. After a couple of hundred trades you may find one depth carries most of your results.

Second triggers. If the first trigger's order expires unfilled and price continues to pull back within the band, a second trigger can form. The plan allows it provided every condition still holds. It does not allow a third: by then the pullback has lasted long enough that the "fresh high in the last hour" condition is usually failing anyway.

Time-of-session effects. Triggers in the first 45 minutes of a window often resolve faster — in both directions — than triggers late in the window, when momentum fades. If your journal shows late-window triggers drifting without reaching either stop or target, Lesson 9's time stop is designed for exactly that.

THE RULES

- Pullback: at least two counter-trend candles, a low (or high, for shorts) touching or entering the 20–50 EMA band
- A close beyond the 50 EMA voids the setup until the Step 2 filter fully resets
- Valid triggers only: engulfing, rejection pin bar (wick at least 2x body, close in the outer third), or a close beyond the prior candle's extreme
- Entry: stop order 0.2 pips beyond the trigger candle; cancel if unfilled after two candles
- Stop: 1 pip beyond the pullback extreme, widened to your minimum if closer, trade skipped if beyond your maximum
- Target: 1.5R from the fill, set at entry

Summary

- The value band between the 20 and 50 EMA is where the plan looks for pullbacks to end.
- A pullback must touch the band and must not close beyond the 50 EMA.
- Three triggers only: engulfing, rejection pin bar and momentum close.
- Enter on a stop order beyond the trigger; the market has to confirm the turn before you are in.
- Valid losers are part of the method; invalid setups are refused before a trigger appears.

CHECK YOURSELF · ANSWERS AT THE BACK

1. In an M5 uptrend, price pulls back for four candles, wicks below the 50 EMA once, and closes every candle above it. Is the pullback still valid?
   A. No — any trade below the 50 EMA voids it
   B. Yes — wicks beyond the 50 EMA are tolerated; only a close beyond it voids the setup
   C. Only if RSI is oversold
   D. Only on GBP/USD
2. Which of these is NOT a valid trigger in this plan?
   A. A bullish candle whose body engulfs the previous red body
   B. A candle with a lower wick three times its body, closing near its high
   C. A small green inside candle that closes below the previous high
   D. A green candle closing above the previous candle's high
3. A trigger candle's high is 1.08625. Where does the buy-stop entry go?
   A. 1.08625 exactly
   B. 1.08627
   C. 1.08645
   D. At the next candle's open
4. The pullback low is 1.08540 and your buy-stop fills at 1.08600 on EUR/USD (minimum stop 5 pips, maximum 8). Where is the stop?
   A. 1.08530 — 1 pip below the low, a 7-pip stop
   B. 1.08550 — the 5-pip minimum
   C. 1.08520 — the 8-pip maximum
   D. No stop, close manually
5. In the 'valid trigger that fails' chart, what should the trader change for the next setup?
   A. Require two triggers in a row
   B. Move stops 3 pips wider
   C. Nothing — the trade was valid and losers are part of the method
   D. Skip the next setup to let the market settle
6. In the USD/JPY drill, the structural stop is just under 5 pips but the minimum for that pair's toll is 6. What does the plan do?
   A. Skips the trade
   B. Uses the 5-pip structural stop anyway

C. Widens the stop to 6 pips and reduces position size

D. Halves the target

Step 4 — Fixed-R Exits: Stops and Targets on the 5-Minute Chart.

MODULE 2 — THE 4-STEP 5-MINUTE PLAN · LESSON 6

Place the stop beyond the sweep zone and inside your minimum–maximum band, size the position from it, and set a fixed 1.5R target that you never move.

Entries get all the attention in trading education. Exits decide the results. A scalper with an average entry and disciplined, consistent exits has a measurable method. A scalper with brilliant entries and improvised exits has a collection of anecdotes.

Step 4 of the plan makes exits boring on purpose. The stop goes in a place defined by structure and constrained by cost. The target is a fixed multiple of the stop. Both are attached to the order at entry. Nothing is moved afterwards except under the narrow, pre-tested rules in Lesson 9. That rigidity is not because flexible exits can never work. It is because flexible exits cannot be measured, and a scalping method you cannot measure is a method you cannot trust.

Where the stop goes, and why

A stop is not a pain threshold. It is the price at which your trade idea is wrong. For a pullback long, the idea is "the pullback has ended and the trend is resuming." The clearest evidence that idea is wrong is price trading below the low of the pullback. So the stop goes **beyond the pullback extreme**, plus a small buffer for noise and spread: **1 pip** on EUR/USD.

Then two constraints, both from Lesson 2:

- **Minimum stop = 5x your all-in round-trip cost.** With a 1.0-pip toll, 5 pips. A structural stop closer than that is widened to the minimum, with position size reduced so the money at risk does not change.
- **Maximum stop = 8 pips on EUR/USD** (scale for other pairs from your own measurements of their typical M5 range). A structure that needs more than that is a pullback too large and too slow for a scalp. You skip it.

The maximum exists because a 12-pip stop implies an 18-pip target at 1.5R, and an 18-pip move is no longer reliably available inside a two-hour window on most mornings. The trade has quietly turned into a day trade.

The sweep zone

There is one more adjustment, and it matters more on low timeframes than anywhere else. Obvious levels attract stops. A pullback low that sits a pip above a round number (any price ending in 00 or 50), a prior M5 swing low or the session open has a crowd of stops sitting just beneath it. Price has a well-documented habit

of dipping through such levels by a pip or two, triggering those stops, and then continuing in the original direction.

The rule: **if an obvious level sits within 2 pips beyond your stop, move the stop beyond that level by 1 pip** — provided the result is still inside your maximum. If it is not, skip the trade.



The pullback low is 1.0901 — one pip above the 1.0900 round number. Instead of a stop at 1.0900, where the crowd's stops sit, the plan places it 1.2 pips beneath the level at 1.08988: a 7-pip stop, inside the 8-pip maximum. Six candles later price sweeps through 1.0900 to 1.08992, collects those stops and turns. This trade survives the sweep and reaches its 1.5R target.



The identical setup with the stop parked exactly on 1.0900 — 1 pip under the pullback low, technically following the basic rule but ignoring the level beneath it. The sweep candle takes it out by less than a pip, and the trend resumes without this trader. Losses like this are the most demoralising in scalping because the read was right. The sweep-zone rule exists to make them rarer.

KEY POINT

Stops belong beyond the place where everyone else's stops are, not alongside them. A pip or two of extra distance is cheap insurance against the most common low-timeframe event there is.

Notice the trade-off. The sweep-zone rule makes the stop wider, which makes the position smaller and the target further away. You will occasionally miss a target by a pip that a tighter stop would have hit. Over a few hundred trades, the testing question is simple: do the extra survivals outweigh the slightly longer targets? On most major pairs and sessions, with a 1.5R target, that is the typical finding — but measure it for yours.

Sizing from the stop

Your stop distance sets your position size, never the other way round. The formula:

Position size = (account × risk per trade) ÷ (stop in pips × pip value per lot)

An illustrative example. Account £10,000, risk 0.5% per trade = £50. Stop 7 pips. On EUR/USD a pip on one standard lot is worth $10, roughly £7.90 at an exchange rate of 1.27. So: £50 ÷ (7 × £7.90) = 0.90 lots.

If the next setup has a 5-pip stop, the size becomes 1.27 lots; the money at risk stays at £50. This is why we measure everything in R: each trade risks the same 1R in money regardless of its pip distance, so results are comparable trade to trade.

Two practical notes. First, pre-calculate a small table of sizes for stops from 5 to 8 pips, and keep it beside your screen. Doing division during a live trigger is how errors happen. Second, round **down**, never up.

The target: fixed at 1.5R

The target is **1.5 times the stop distance**, measured from your actual fill, placed as a limit order at entry. A 5-pip stop gives a 7.5-pip target; an 8-pip stop gives 12.

Why 1.5R? Three reasons.

The cost arithmetic. With cost at 0.2R, the break-even win rate at 1R is 60%; at 1.5R it is 48%; at 2R, 40%. A 1R target asks for a win rate few methods sustain after costs.

The available move. M5 pullback trades in a two-hour window typically have a limited runway before the next pullback, level or session lull. Targets beyond about 2R start to require the trend to make a whole new leg inside your window. That happens, but less often, and the win rate falls accordingly.

Execution. The target is a limit order, which means it fills at your price or better — no slippage on your winners. Your stop is a stop order and can slip. A fixed limit target is one of the few places a scalper gets a guaranteed price, and it is worth using.

1.5R is a reasonable starting point, not a law. Test 1.2R, 1.5R and 2R on the same set of simulated setups and pick one. What you must not do is choose per trade.

Why the target never moves



A GBP/USD long with a 7-pip stop (the minimum for its higher toll) and a 1.5R limit target 10.5 pips away, filled at the top of the move. The trader who 'let it run' to 2.5R watched price stall about two pips beyond the original target and fall back to entry. One version banked +1.5R; the other turned a finished winner into a scratch that still paid the toll.

Moving the target feels like optimisation. In practice it converts a fixed, testable exit into a discretionary one, made at the moment you are most excited and least objective. Three things happen to traders who move targets:

1. Some winners become larger. These are remembered vividly.
2. Some winners become scratches or losers. These are explained away.
3. The method's statistics become meaningless, because the exit rule changes with mood.

The third is the real damage. Lesson 11's journal and weekly review only work if each trade was managed the same way. A moved target is a trade from a different strategy — one you have never tested.

COMMON MISTAKE

Moving a target further away "because momentum is strong." Momentum at the moment of decision is visible to everyone, already reflected in price, and one candle from disappearing. If you believe larger targets work better, test 2R on a simulator for 100 trades. Do not test it live, one emotional trade at a time.

When the plan says skip



A valid trend, a pullback into the band and an engulfing trigger — but the ringed candle's wick dropped 8 pips in five minutes. One pip beyond it is an 11-pip stop and a 16.5-pip target. That is outside the plan's 8-pip maximum. This trade happens to work, which is irrelevant: in a two-hour window, setups this wide are day trades, and the plan does not take them.

Skipping a trade that then works is one of the hardest things in scalping. It should not bother you. The plan is not trying to catch every move. It is trying to take only the trades whose size and shape it has been tested on. A skipped winner costs you nothing; a stretched rule costs you your statistics.

Going deeper

Stop orders slip; limit orders do not. In fast markets a stop-loss can fill beyond its level — perhaps 0.3 to 1 pip on a major in normal conditions, far more around news. That slippage belongs in your cost audit. If your log shows stop slippage creeping up, it usually means you are trading closer to releases or later into thin hours than you think.

Stop placement and the win rate. Every pip of extra stop room raises the win rate slightly (fewer noise stop-outs) and lowers the reward in pips per trade relative to account size (smaller position). The optimum is not "as tight as possible." For most M5 pullback setups the structural stop plus a 1-pip buffer, adjusted for sweep zones, sits near the sensible middle. Test the buffer between 0.5 and 2 pips on your own data before changing it.

What R hides. Measuring in R makes trades comparable, but it can hide position-size errors. If your journal shows a −1.4R loss on a trade with no slippage, you sized it wrongly. Add a column for "planned R versus realised R" and investigate every gap larger than 0.1R.

Partial targets. Some traders take half at 1R and the rest at 2R. It reduces variance per trade and changes the expectancy maths, usually slightly for the worse after costs (because the cost is paid on the full position while half the position earns less). Lesson 9 does the arithmetic. The default in this plan is one target.

THE RULES

- Stop: 1 pip beyond the pullback extreme; widened to the minimum (5x cost) if closer; trade skipped if beyond the maximum (8 pips on EUR/USD)
- If a round number, prior M5 swing or session level lies within 2 pips beyond the stop, place the stop 1 pip beyond that level — or skip if that exceeds the maximum
- Size from the stop: risk a fixed fraction of the account (for example 0.5%) per trade; round size down
- Target: 1.5R from the fill, entered as a limit order at the same time as the stop
- Never move the target; never move the stop further away

Summary

- The stop marks where the pullback idea is wrong: 1 pip beyond the pullback extreme, inside your minimum–maximum band.
- Move stops beyond nearby obvious levels to avoid the sweep zone; skip if that breaks the maximum.
- Size the position from the stop so every trade risks the same 1R in money.
- The target is a fixed 1.5R limit order — measurable, slippage-free and never moved.
- Skipping a setup that would have worked costs nothing; stretching a rule costs your statistics.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Your pullback low is 1.08512 and 1.08500 is a round number. Basic rule: stop 1 pip beyond the low. Where does the sweep-zone rule put the stop?

   A. 1.08502

   B. 1.08490 — 1 pip beyond the round number

   C. 1.08512

   D. 1.08450

2. Account £8,000, risk 0.5%, stop 8 pips on EUR/USD, pip value about £7.90 per lot. What is the position size, rounded down?

   A. 0.50 lots

   B. 0.63 lots

   C. 0.79 lots

   D. 1.00 lot

3. Why does the plan enter the target as a limit order at entry?

   A. Limit orders have lower commission

   B. A limit fills at your price or better, so winners do not suffer slippage, and the exit is fixed in advance

   C. Brokers require it

   D. It allows the target to be moved more easily

4. In the 'stop too wide' chart, the trade would have won. Was skipping it a mistake?

   A. Yes — a winner is a winner

   B. No — the setup needed an 11-pip stop, outside the plan's tested range

   C. Yes — the maximum should be raised

   D. Only if it was in the overlap

5. In the paired sweep-zone charts, what was the only difference between the winning and losing trade?

   A. The entry trigger

   B. The session

   C. Stop placement relative to the 1.0900 round number

   D. The target multiple

1-Minute Execution — Refining the Entry Without Inventing a New Strategy.

MODULE 3 — 1-MINUTE PRECISION · LESSON 7

Use the 1-minute chart only after the 5-minute setup is armed, trigger on a defined M1 structure shift, and execute every order with pre-set size, attached stops and a rehearsed emergency exit.

The 1-minute chart is the most dangerous chart in retail trading. Not because it is noisy — though it is — but because it is persuasive. Every minute it produces a new pattern, a new swing, a new reason. Traders who live on it end up with a different strategy every hour.

This course uses the 1-minute chart in exactly one way: as a **zoom lens on a 5-minute setup that already exists.** The 5-minute chart tells the story — bias, filter, pullback into the band. The 1-minute chart only times the entry within it. If the 5-minute chart has not armed the setup, the 1-minute chart is closed.

Used that way, the 1-minute refinement offers two real benefits: a better entry price on many trades, and fewer trades skipped for stops that are too wide. It also has real costs, and this lesson is honest about both. The second half covers the mechanical skill of execution itself — orders, platform, drills — which matters more on M1 than anywhere else.

When the 1-minute chart opens

The M1 refinement is only allowed when all of the following are already true on M5:

1. H1 bias set (Step 1).
2. M5 trend filter passing (Step 2).
3. M5 price has **entered the value band** without closing beyond the 50 EMA — the setup is **armed**.

At that moment, and not before, look at the 1-minute chart. Then, from the same armed state, you have two entry methods to choose from — and you choose one **in advance**, for a whole block of testing, not per trade:

- **Standard (M5):** wait for an M5 trigger candle and use the stop-entry from Lesson 5.
- **Refined (M1):** wait for the M1 structure shift described below.

You never use both on the same setup, and you never switch between them because one "looks better" on a given morning.

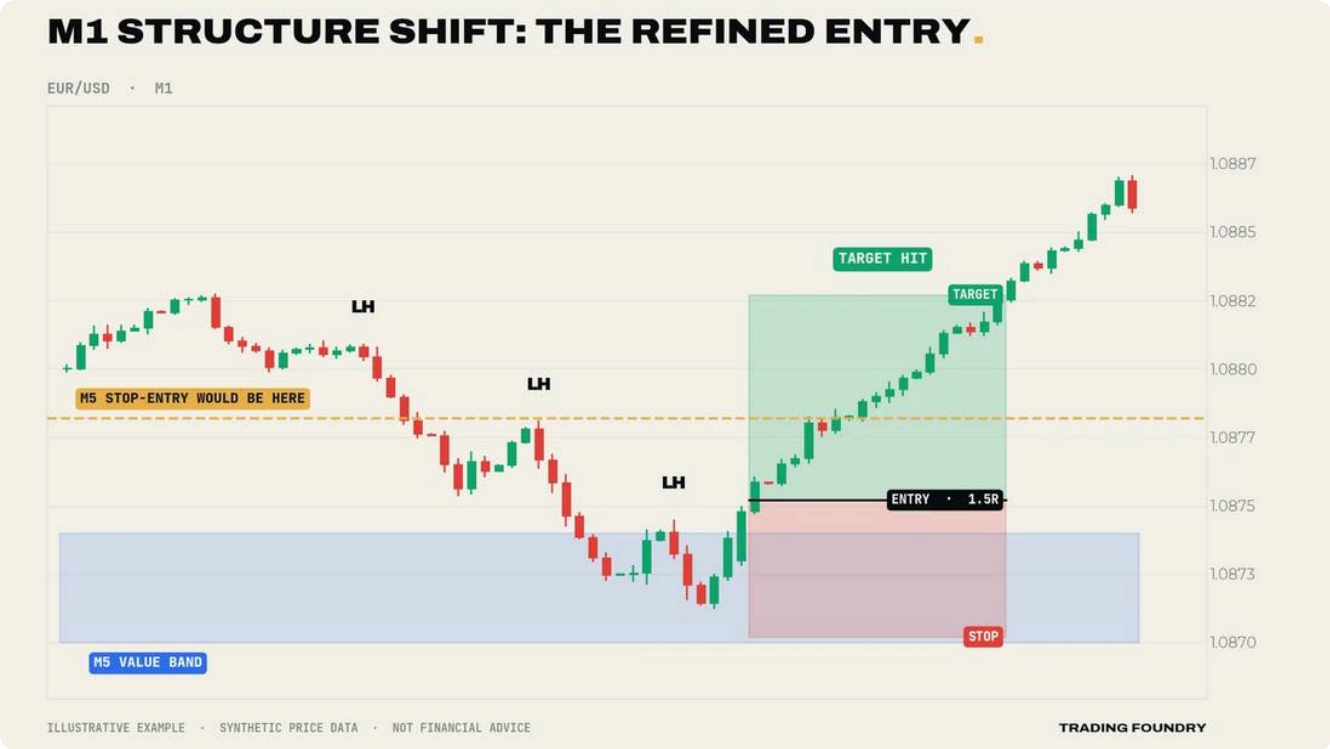
The M1 structure shift

Zoomed in, an M5 pullback in an uptrend is usually a small downtrend on the 1-minute chart: lower highs and lower lows, drifting into the band. The pullback ends, on M1, when that micro downtrend breaks — when

buyers push price through the most recent M1 lower high.

The rule, for longs:

- Identify the most recent **M1 lower high** — the last swing high of the micro downtrend.
- The trigger is an **M1 candle that closes above it**.
- Entry: buy-stop **0.2 pips above that candle's high**. Cancel if not filled within **three M1 candles**.
- Stop: **1 pip below the lowest point of the pullback**, exactly as in Lesson 6 — sweep-zone rule, minimum and maximum all unchanged.
- Target: **1.5R** from the fill.



The M5 pullback seen on the 1-minute chart: a micro downtrend of lower highs into the M5 value band. The candle at 50 closes above the last lower high, a buy-stop fills just above it, and a 5-pip stop sits under the pullback low. The standard M5 stop-entry would have filled 3 pips higher. Same idea, same stop logic — but the market only needs to move 7.5 pips from here instead of 10.5.

What the refinement buys you

Look at the numbers in that chart. With the standard M5 entry, the buy-stop above the M5 trigger candle would have filled around 8.2. The pullback low (with buffer) was 0.2, so the stop would have been 8 pips — right at the maximum — and the 1.5R target 12 pips away. With the M1 entry at 5.2, the same structural stop is 5 pips and the target 7.5 pips away.

The money at risk is identical — 1R either way, because position size adjusts. But the market has to travel less to pay you 1.5R. Over many trades that means:

- **Some trades that the M5 entry would have skipped** (stop beyond the maximum) **become takeable**.

- **Some trades that would have stalled** short of a 12-pip target **reach a 7.5-pip one**.

What the refinement costs you

There is no free lunch, and three costs come with the zoom.

More false starts. M1 structure shifts are frequent and many fail. An M1 trigger fires earlier than an M5 one, which means it fires on more pullbacks that were not actually finished.

Cost concentration. Better entries often produce stops right at your minimum. That is fine — the minimum exists for this — but you will be trading at the 0.2R cost ceiling more often, and every slippage pip weighs more.

Attention. Watching an M1 chart for a shift is far more demanding than waiting for an M5 candle to close. If your decision quality is already stretched by the end of a window, M1 work makes that worse. Lesson 11 has more on this.



The same rule on a different morning. The M1 candle closes above the last lower high and the buy-stop fills — then price stalls and rolls over, taking out the pullback low and the stop beneath it. Later the M5 chart shows the pullback was deeper than the first M1 shift suggested. A valid loss: the refinement fires earlier, so it fires on more pullbacks that are not finished.

So which should you use? The honest answer is: test both on the same few hundred armed setups — a simulator with replay makes this straightforward — and compare expectancy after costs, not win rate. Many traders find the M5 stop-entry is simpler to execute and nearly as good. Some find the M1 refinement materially better on their pair. Do not guess; measure.

KEY POINT

The 1-minute chart never creates a setup. It only refines the entry of a setup the 5-minute chart has already armed — and you choose M5 or M1 entries in advance for a whole testing block, never per trade.

The late-entry trap

One more failure mode deserves its own chart, because the 1-minute chart makes it so tempting.



The shift happened at minute 47 and the trader was not watching. By minute 53 price is 7 pips off the pullback low after six green candles. Buying here means a stop at least 8 pips away and a target 12 pips further — a different trade from the one the plan tested, taken because of the urge to be involved. The rule: if price has already travelled more than half the planned target distance from the pullback low, the setup is gone.

The rule is simple: **if price has already moved more than half the planned target distance from the pullback extreme when you would enter, the setup is missed.** Missing setups is normal. Chasing them is how M1 traders turn a tested method into an improvisation.

Execution is a physical skill

Everything above is thinking. Now hands. On the 1-minute chart, mechanical execution — how fast and accurately you turn a decision into a working order — materially affects results. Three seconds of fumbling on a 5-pip stop can be half a pip of slippage, which is 0.1R.

Orders. Know the trade-offs cold:

- A **market order** guarantees a fill, not a price. Fastest, but every fill in a fast market carries slippage.

- A **limit order** guarantees a price, not a fill. Zero entry slippage, but you will sometimes miss trades.
- A **stop-entry order** fills only if price trades through your level — which is why the plan uses it. It confirms the turn, but it fires into momentum, so some slippage is normal.

The plan uses stop-entry orders for entries and stop-losses, and a limit order for the target. That combination is decided once. You do not choose order types during a trade.

The platform as a cockpit. Strip your screen to the objects that inform or execute a decision: the M5 chart (with the two EMAs and your marked levels), the M1 chart beside it, a one-click order panel with pre-set size, and a live spread readout. No news feed, no chat room, no extra pairs, no indicators you do not use. Every extra object is a tax on recognition speed.

Safety rails, set while calm. Default size locked to your sizing table. Stop and target attached automatically to every entry (most platforms support bracket or OCO orders). One-click close enabled and practised. A daily loss cut-off configured if your platform offers one.

The drills. On a demo account, practise the full cycle — read the trigger, place the bracket order, confirm it is working — until it takes under five seconds without looking for buttons. Practise the emergency flatten until it is reflexive. And write your broker's dealing-desk phone number and your account number on paper beside the screen, because the moment your platform freezes with a position open is not the moment to search for them.

COMMON MISTAKE

Holding a "mental stop" on the 1-minute chart. On a fast timeframe, a mental stop is a plan to negotiate with yourself in the middle of a losing trade. The stop is attached in the platform at entry, every time.

Going deeper

Latency, honestly. Retail scalping does not compete with high-frequency firms on speed and does not need to. A wired connection, a platform that stays responsive during busy periods (test it during a news release while flat), and a broker whose fills you have measured are enough. A VPS near your broker's server is a reasonable step only if your logs show latency-related slippage.

Why three M1 candles for expiry? An M1 shift that does not follow through within three minutes is usually a pause, not a turn. Waiting longer means you are filled late into a move that may already be stalling. Test two to five candles if you like, but fix the number.

Two charts, one decision. Some traders find watching M5 and M1 together splits their attention. An alternative is to set an alert at the M5 20 EMA: when it fires, the setup may be arming, and only then do you look closely. That keeps the M1 chart closed for most of the session.

Combining refinements is a new strategy. M1 shift plus candle trigger plus a limit at the band plus… Each addition creates a different method with its own statistics. If you want to test a variation, test it as a separate block of trades. Never blend them in live trading.

THE RULES

- The M1 chart opens only after the M5 setup is armed (bias, filter, price in the band without closing beyond the 50 EMA)
- Choose M5 stop-entry or M1 shift entry in advance for a whole testing block — never per trade
- M1 trigger: a close beyond the last M1 lower high (higher low for shorts); stop-entry 0.2 pips beyond that candle, cancelled after three M1 candles
- Stops and targets follow Lesson 6 unchanged: structural stop, sweep-zone rule, minimum and maximum, 1.5R target
- If price has travelled more than half the target distance from the pullback extreme, the setup is missed — do not chase
- Every entry goes in as a bracket: stop and target attached at the moment of entry

Summary

- The 1-minute chart only refines entries for setups the 5-minute chart has armed.
- The M1 structure shift — a close beyond the last micro lower high — often gives a better price and a smaller pip stop.
- It costs more false starts, more trades at the cost ceiling and more attention; test it against the M5 entry rather than assuming.
- Do not chase: more than half the target distance from the pullback extreme means the setup has gone.
- Execution is a drilled physical skill: pre-chosen order types, bracket orders, a cockpit screen and a rehearsed emergency exit.

CHECK YOURSELF · ANSWERS AT THE BACK

1. H1 bias is long and the M5 filter passes, but M5 price has not yet reached the value band. A clean M1 structure shift appears. What does the plan do?

   A. Takes it — the M1 shift is the trigger

   B. Nothing — the M1 chart only opens once the M5 setup is armed in the band

   C. Takes it with half size

   D. Switches the bias to M1

2. Why can the M1 refinement make a trade takeable that the M5 entry would skip?

   A. It changes the bias

   B. Its earlier entry is closer to the pullback low, so the structural stop can fall inside the maximum

   C. It removes the need for a stop

   D. It doubles the target

3. Your planned target is 7.5 pips. Price is already 5 pips above the pullback low when you see the M1 shift. What should you do?

   A. Enter immediately at market

   B. Enter with a tighter stop

   C. Skip — price has travelled more than half the target distance

   D. Wait for the next M1 candle and then enter

4. Which order combination does the plan use?

   A. Market entry, mental stop, market exit

   B. Stop-entry, attached stop-loss, limit target

   C. Limit entry, no stop, trailing target

   D. It varies per trade

5. In the false-shift chart, what should the trader conclude?

   A. The M1 rule is broken and should be abandoned

   B. It was a valid loss: earlier triggers fire on more unfinished pullbacks

   C. The stop should have been moved lower after entry

   D. They should have used both M1 and M5 entries

Candle Triggers at Micro Levels.

MODULE 3 — 1-MINUTE PRECISION · LESSON 8

Mark the five or six intraday levels that matter before the session, read the plan's three trigger candles where those levels meet the value band, and skip triggers that have no room to reach their target.

A pin bar in the middle of nowhere and a pin bar resting on the overnight high are the same shape. They are not the same event. The first tells you a few sellers ran out of interest for five minutes. The second tells you that price came back to a place every intraday participant could see, tested it, and was refused.

Lesson 5 gave you three trigger candles and the value band where they count. This lesson adds location. It shows you which handful of intraday levels are worth marking, how to mark them before the session rather than during it, and how they change two things about a setup: how much you trust the trigger, and whether the trade has room to reach its target at all. It does not add a new setup. The four-step plan is unchanged. Levels make it sharper, and occasionally they veto it.

The levels that matter when minutes matter

Forget the weekly trend lines. On the 1- and 5-minute charts, price is organised by humbler, nearer levels — the ones every intraday trader has on their screen:

- **The prior day's high and low.** The most widely watched intraday reference there is.
- **The Asian range high and low.** For European pairs, the boundaries of the quiet overnight session. London often tests or breaks one of them early.
- **Round numbers.** Prices ending in 00 and, to a lesser degree, 50. Orders cluster there because humans like tidy numbers.
- **The day's opening price.** Some traders also mark the London open price at 08:00.
- **Any level already fought over twice today.** If price has turned from the same area twice, the third visit is worth noticing.

That is the whole list. Mark these **before the session starts** — at 07:45 for the London window, 12:45 for the overlap — and stop there. Five or six lines is plenty. If everything is marked, nothing is, and a scalper drawing lines mid-session is a scalper not watching price.



Three levels marked before London opened: the Asian range (roughly 1.0873 to 1.0884), the 1.0900 round number and the prior-day high at 1.0912. London breaks the Asian high, pulls back to retest it, pauses for twenty minutes at 1.0900, then runs towards the prior-day high. Nobody needed to predict any of this. The levels simply told the trader where the morning's decisions were likely to happen.

Why levels work — without the mysticism

A level is useful to a scalper because of crowding, not magic. When many participants put stops and entries around the same obvious price, that neighbourhood becomes predictable in a narrow way. Price tends to speed up as it approaches (stops being triggered), often overshoots by a pip or two (the cluster being cleared), and then shows its hand: either it carries on with real follow-through, or it snaps back once the forced orders are used up.

That is all we need to believe. We do not need a story about who is behind the move. The chart observably shows price behaving differently near widely watched prices; the plan uses that behaviour and nothing more.

KEY POINT

A level does not create a trade. It tells you where the plan's own trigger is most worth trusting — and where a target is likely to run into a wall.

Job one: grading the location

When a qualifying pullback into the 20–50 EMA band also lands on a pre-marked level, two separate reasons to expect support (or resistance) are in the same place. We call that **confluence**, and it is the best location the plan can offer.

The rules for using it are deliberately modest:

1. **Confluence is preferred, not required.** A valid trigger in the band without a level is still a valid trade under the plan. The passport says "ideally at a pre-marked micro level" for a reason: requiring a level would cut the number of setups sharply, and you have no evidence yet that it improves results.
2. **Log it.** Add a column to your journal — "L" if the pullback extreme was within 2 pips of a pre-marked level, blank if not. After a couple of hundred trades you will know whether the confluence trades carry more of your results. Many traders find they do. Some find no difference. Measure, then decide.



London breaks the Asian high at 1.0860 and runs 17 pips. The pullback sinks through the 20 EMA towards the old high, and the ringed candle's lower wick probes to 1.08604 before closing near its top — a rejection pin bar in the band, on a pre-marked level. Buy-stop at 1.08643. One pip under the wick would be a 4.9-pip stop, so it is widened to the 5-pip minimum at 1.08593 — conveniently beneath the level, not on it. The 1.5R target at 1.08718 fills six candles later.

Read that chart in the plan's order, not the level's. Bias long. Filter passing: the 20 EMA above the 50, both rising, a fresh high inside the hour. Pullback: four counter-trend candles, a low inside the band, no close below the 50 EMA. Trigger: a pin bar with a lower wick about sixteen times its body, closing in the top third of its range. Only then does the level add anything: the wick turned at a price the whole market had marked. Same trade, more reason to trust it.

Reading the trigger candle at a level

The three triggers have not changed — engulfing, rejection pin bar, momentum close. What a level adds is a way to read them more precisely.

The wick tells you where the test happened. A pin bar whose wick reaches into or slightly through a level, then closes back on the trend side, has tested the level and been refused. A pin bar whose wick stops three pips short of the level has not tested it at all — the level may still be waiting below.

A small overshoot is normal. Because stops cluster just beyond obvious prices, a wick that pierces a level by a pip or two and closes back is often a stronger sign than one that stops neatly on it. The stops were taken, and price still could not continue.

Bodies tell you about conviction. A trigger candle with a full body that closes near its extreme, followed by a shallow pause, shows genuine participation. A cluster of small overlapping candles with long wicks on both sides, sitting on a level, shows a market that has not made up its mind. That is not a trigger. Wait for one of the three to print, or let the setup expire.

The sweep and reclaim on the 1-minute chart

If you are running the M1 refinement block from Lesson 7, levels show up in a specific shape: price knifes through the level, often in a single 1-minute candle, and closes back above it (for longs) within that candle or the next. On the 5-minute chart, the same event usually appears as a pin bar into the level.

The sweep is information, not a trigger. Your M1 trigger is still the structure shift: an M1 close above the last lower high. Often the reclaim candle or the one after it produces that shift within a minute or two, which is why the two are worth recognising together.



An armed M5 setup seen on the 1-minute chart. The ringed candle drops through 1.0900 to 1.08984, collects the stops parked under the round number, and closes back above it. The next candle closes above the last M1 lower high — the Lesson 7 structure shift — and a buy-stop fills at 1.09038. The stop goes 1 pip under the sweep low (6.4 pips, inside the band) and the 1.5R target at 1.09134 is reached about thirteen minutes later.

COMMON MISTAKE

Buying the sweep candle itself, mid-wick, because "the stops have been taken". Sometimes they have, and price keeps falling anyway because the level simply broke. The plan waits for the close back above the level and a defined trigger, and accepts a slightly worse price as the cost of knowing.

Job two: the room check

Here is the job that saves money. A level does not only support your entry; levels on the other side of the trade can block your target.

The rule: **before entering, find the nearest pre-marked level in the direction of the trade. If it sits between your entry and your 1.5R target, skip the trade.**

This is a micro version of the Lesson 4 rule about H1 levels. A target that has to break through the prior-day high, a round number or the Asian range boundary to be paid is a lower-probability target paying the same full toll. On a 7.5-pip target, it takes only one stubborn level to turn a sensible trade into a coin-flip with a 0.2R entry fee.



Everything about the trigger is fine: a pullback to the 20 EMA and a clean bullish engulfing. But the buy-stop at 1.08752 needs a 1.5R target of 1.08832, and the prior-day high — already tested once this morning — sits at 1.08795, only 4.3 pips above entry. Price reaches 1.0879, stalls under the level for three candles and rolls over through the 5.3-pip stop. The room check would have skipped this before the order was placed.

This is the failure mode of traders who have learned candle patterns well. The trigger is real; the trade is not. The room check takes about three seconds if your levels were marked before the session, and it is the main reason to mark them.

Two clarifications. First, a level slightly beyond your target does not block it; the target fills first. Second, do not "solve" a blocked target by shrinking it to fit beneath the level. A 1R target pays a 60% break-even win rate at 0.2R of cost, as Lesson 2 showed. The fix for a blocked target is to skip the trade.

Practice drill

Work through the plan in order before you reveal the answer. Bias is short. The levels were marked before the session.



GBP/USD, short bias. London broke the Asian low hard, then rallied back to it. The ringed candle is a bearish pin bar at the old low. Does the plan sell?

THE REVEAL



THE ANSWER

No trade. The location and the candle are both textbook: price rallied back to the broken Asian low, the ringed candle's upper wick poked through it by a fraction of a pip, and it closed as a bearish pin bar inside the 20–50 EMA band. But Step 2 has quietly failed. The rally was strong enough to turn the 20 EMA: it is now higher than it was six candles ago, so the averages are no longer both falling. The plan never lets a good candle at a good level override the filter. Here the sell-stop at 1.27284 would have filled on the next candle and been stopped at 1.27354 (7 pips, the GBP/USD minimum) as price climbed back through the averages.

Going deeper

Levels decay with use. A level that has been tested once and held is meaningful. A level that has been tested four times in a morning is usually being worn away: each test consumes the orders resting there. If price keeps returning to the same support, the fourth bounce is less trustworthy than the first, and a break becomes more likely. In your journal, note whether the level was on its first, second or third-plus test.

Round numbers are not all equal. On EUR/USD, a "big figure" ending in 00 tends to attract more orders than a 50, and a 50 more than a 20 or 80. Mark the 00s and 50s near current price and ignore the rest.

The level-to-stop relationship. Levels interact with Lesson 6's sweep-zone rule in both directions. A level *inside* your stop (between entry and stop, as in the Asian-high chart) is good: your stop sits beyond the crowd. A level just *beyond* your stop is a hazard, and the stop must move past it or the trade is skipped. Read both before the order goes in.

Why not trade levels on their own? Fading every touch of a level, without the trend filter, is a completely different strategy — a range-reversal method with its own statistics, costs and failure modes. It may work for

some traders. It is not this plan, and blending the two is how one tested method becomes two untested ones.

Session timing changes level behaviour. Levels tested in the first 30 minutes of London tend to be swept more aggressively, because liquidity and stop density are both high. Levels tested late in the window are more often simply drifted through. If your journal shows confluence trades working early and failing late, that is a real finding — but wait for a sample of at least a hundred trades before acting on it.

THE RULES

- Mark five or six levels before the session (prior-day high/low, Asian high/low, 00 and 50 round numbers, day open, any level fought over twice) — never during it
- Levels grade a setup; they never create one. The four-step plan decides whether there is a trade
- Log confluence ("L") when the pullback extreme is within 2 pips of a pre-marked level
- Room check: if a pre-marked level sits between entry and the 1.5R target, skip the trade — do not shrink the target to fit
- A sweep through a level is information; the trigger is still an engulfing, pin bar, momentum close (M5) or structure shift (M1)

Summary

- The micro levels that organise intraday price are few: prior-day high and low, the Asian range, round numbers, the day's open and levels already fought over.
- Mark them before the session; five or six is plenty.
- A trigger at a level in the value band is the plan's best location, but confluence is preferred and logged, not required.
- The room check skips any trade whose 1.5R target lies beyond a pre-marked opposing level.
- A perfect candle at a perfect level is still no trade if bias, filter or pullback rules have failed.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which of these is NOT on the lesson's list of levels to mark before the session?

   A. The prior day's high and low

   B. The Asian range high and low

   C. A trend line drawn on the weekly chart

   D. Round numbers ending in 00 and 50

2. A valid M5 trigger appears in the value band, but there is no pre-marked level nearby. What does the plan do?

   A. Skips it — confluence is required

   B. Takes it — confluence is preferred and logged, not required

   C. Takes it at half size

   D. Waits for price to reach a level

3. Your buy-stop is at 1.08450 with a 5-pip stop. The prior-day high is at 1.08500. What does the room check say?

   A. Trade — the level is above entry

   B. Skip — the level sits between entry and the 1.5R target at 1.08525

   C. Trade with a 0.9R target under the level

   D. Move the stop to 4 pips

4. In the 'swept and reclaimed' chart, what was the actual entry trigger?

   A. The sweep candle's low

   B. The candle closing back above 1.0900

   C. The next M1 candle closing above the last lower high — the structure shift

   D. A market order as soon as price touched 1.0900

5. In the GBP/USD drill, the pin bar sat perfectly on the Asian low inside the band. Why was it no trade?

   A. Pin bars are not valid short triggers

   B. The upper wick pierced the level

   C. The 20 EMA had turned up, so the trend filter was no longer passing

   D. GBP/USD is not an approved pair

6. A support level has held four times this morning. How should you treat a fifth test?

   A. As the strongest test yet

   B. With more caution — repeated tests tend to wear a level away

C. As a guaranteed bounce

D. As irrelevant, since levels do not matter on M5

Trade Management — Partials, Break-Even Rules and What They Really Cost.

MODULE 3 — 1-MINUTE PRECISION · LESSON 9

Know exactly what you may and may not do once a scalp is live, calculate what break-even stops, partial profits and time stops do to expectancy after costs, and test any of them as a separate block rather than improvising.

Once a scalp is live, the hardest part of the trade is usually over. The decision has been made, the stop and target are attached, the size is right. What remains is the part where most scalpers lose their edge: the five to thirty minutes in which they watch price wobble around their entry and feel an overwhelming urge to *do something*.

This lesson is about that urge. It sets out the plan's default, which is to do almost nothing, then examines the three management techniques traders most often add — break-even stops, partial profits and time stops — with the arithmetic in the open. None of them is free. Each changes your expectancy in a way that depends on your costs and on how your trades tend to behave after entry. That makes them testable, and it makes improvising them in the moment a bad idea.

The default: set and leave

The plan's default management, from Lesson 6, is short enough to memorise:

- Stop and target are attached as a bracket at entry.
- The target never moves.
- The stop never moves further away.
- You do not add to the position.
- You do not close early because of a feeling.

That leaves exactly three things you may do while a trade is open, and only if they were decided before the session:

1. **A tested break-even rule**, if you have adopted one for this block of trades.
2. **A tested time stop**, if you have adopted one for this block.
3. **An abnormality exit**: closing at market because something has broken — the platform is freezing, the spread has blown out to several times normal, or an unscheduled shock is moving price violently. This is an emergency procedure, not a trading decision.

Everything else is watching. If you find watching unbearable, a common professional answer is to stop watching: once the bracket is confirmed, look at the M5 chart only at candle closes, or minimise the order

panel entirely.

KEY POINT

In this plan, trade management is decided before the session, not during the trade. Anything you would do to a live trade must be a written rule you have tested on a whole block of trades.

Break-even stops: the scratch is not free

The most popular management rule in retail trading is "move the stop to break-even once the trade is 1R in profit". It feels like a free option: once you are at entry, you cannot lose.

For a scalper that is not quite true, for two reasons.

First, break-even is not zero. A stop at your entry price still pays the toll. With a 1.0-pip round-trip cost on a 5-pip stop, a "break-even" exit is a **loss of 0.2R**. A true break-even, where you lose nothing, would mean a stop one pip *above* entry — which is even closer to price and gets hit even more often.

Second, it converts some winners as well as some losers. A stop at entry is very close to price. On the 5-minute chart, pullbacks of 5 pips inside a trade that eventually works are routine. Every one of those becomes a scratch.



A long filled at 1.08700 with a 5-pip stop and a 1.5R target at 1.08775. Price reaches +1R at 1.08750 three candles later, so a trader using a break-even rule moves the stop to 1.08700. A routine pullback tags it, and the trade is closed for −0.2R after costs. Price then reaches the original target. The plan as written banked +1.3R; the break-even version paid the toll and watched.



The identical entry on a different morning. Price reaches +1R, stalls short of the target and then sells off through the original stop. Here the break-even rule earns its keep: the trader using it exits at entry for −0.2R, while the plan as written takes the full −1.2R. Neither chart proves anything on its own. The question is how often each version happens on your pair, in your window.

The break-even arithmetic

The only trades a break-even rule affects are the ones that reach +1R and then come all the way back to entry. Call the share of those trades that *would* have gone on to hit the target **p**. Without the rule, each of those trades is worth, on average:

p × 1.3R − (1 − p) × 1.2R

With the rule, every one of them is worth −0.2R. Setting the two equal gives p = 0.4. So, with this plan's numbers:

- If **fewer than 40%** of your "back-to-entry" trades would have gone on to the target, the break-even rule helps.
- If **more than 40%** would have, the rule is quietly costing you money.

A hypothetical illustration: out of 100 trades, 20 reach +1R and then return to entry. If 10 of those 20 would have gone on to win, the rule turns +1.0R (10 × 1.3 − 10 × 1.2) into −4.0R (20 × −0.2). That is a 5R swing per hundred trades, which on a thin scalping edge can be the entire edge. If only 4 of the 20 would have won, the rule turns −14.0R into −4.0R and saves 10R. Same rule, opposite verdict. These numbers are invented to show the mechanism, not a claim about any strategy.

You can measure p on a simulator without ever using the rule: for each trade, log whether it reached +1R and whether it later touched entry. That is one extra column and it answers the question with your own data.

COMMON MISTAKE

Moving to break-even "when it feels like it might turn". An undefined break-even rule combines the costs of the real one with the inconsistency of discretion. It is the worst of both, and it makes your journal unreadable.

Partial profits: smoother, not better

The second popular technique is to close part of the position early — for example half at 1R — and let the rest run to a further target such as 2R.

Here is the arithmetic, with the same 0.2R toll paid on the full position:

WHAT HAPPENS	SINGLE 1.5R TARGET	HALF AT 1R, HALF AT 2R
Stopped before +1R	−1.2R	−1.2R
Reaches +1R, then stopped	−1.2R	−0.2R
Reaches 1.5R, not 2R, then stopped	+1.3R	−0.2R
Reaches +2R	+1.3R	+1.3R

Look at the bottom row first. The best possible partial-profit trade pays exactly what the single 1.5R target pays — but it needs price to travel 10 pips on a 5-pip stop instead of 7.5. The partial version is better in the second row, worse in the third. Whether it helps overall depends on how often your trades stall between 1R and 1.5R compared with how often they run between 1.5R and 2R.

What partials reliably do is **reduce variance**: fewer full losses, fewer full wins, a smoother equity curve. That can be valuable for your psychology. It is not automatically valuable for your expectancy, and on a 5-pip stop there is a practical cost too: splitting a 0.9-lot position into two halves is fine, but smaller accounts quickly hit minimum lot sizes and rounding.



The partial-profit version of the same setup: half the position closed at +1R (1.08750), the rest targeted at 2R (1.08800). This time both are paid, for +1.3R after costs — exactly what the single 1.5R target would have paid, but only after price travelled an extra 2.5 pips. On mornings when price stalls between 1R and 1.5R, partials win; on mornings when it stalls between 1.5R and 2R, they lose.

Time stops: closing the trade that is going nowhere

The third technique is the one this plan offers as an option in the passport: **if the trade is not at least +0.5R in profit after six M5 candles (30 minutes), close it at market.**

The logic comes from what a pullback scalp is. The idea is that the pullback has ended and the trend is resuming. Trends that resume do so with some urgency; most of this plan's winners spend very little time near entry. A trade that is still sitting around its entry half an hour later has not been proven wrong, but its premise is fading, and it is tying up your attention and your risk while the window runs down.



A long that never gets going. After six candles the best price has been about +0.2R and it has never reached the +0.5R line at 1.08725. The time stop closes it at 1.08694, a loss of about 0.3R including costs. Ten candles later the original stop at 1.08650 is taken out. This time the time stop saved roughly 0.9R. On other days it will close a slow trade that would have reached target — which is why it has to be tested, not assumed.

The time stop is not free either. Its exits pay the toll, and some slow starters would have gone on to win. In practice, traders who test it usually find it reduces the number of full −1.2R losses and slightly reduces the number of winners. Whether that trade-off is positive is, again, an empirical question. That is why the passport calls it *optional* and *tested*.

Fix its parameters before you test it — six candles and +0.5R are a reasonable start — and do not tune them on fewer than a couple of hundred trades. Shaving the numbers until last week's results look perfect is curve-fitting, not testing.

How to test a management rule properly

Every technique in this lesson follows the same test procedure.

1. **Collect a block of armed, triggered setups on a simulator** — ideally the same few hundred, replayed.
2. **Run them under the default plan** and log the result of each in R after costs.
3. **Run the identical setups under the alternative rule** — break-even at +1R, partials, or the time stop — and log those results too.
4. **Compare expectancy in R, not win rate.** Break-even rules and time stops nearly always raise the win rate (scratches feel like non-losses), while sometimes lowering expectancy. The number that pays you is expectancy.
5. **Choose one version and use it for the next live block.** Do not switch per trade.

Note that the comparison is fair only because the entries are identical. Testing a management rule on different trades from the ones you tested the default on tells you about the trades, not the rule.

Going deeper

Why management rules look better than they are. Every management rule feels good in the moment it saves you: the break-even stop that dodged a full loss, the time stop that exited before the collapse. The trades it costs you are invisible, because you were not in them when they went on to work. That asymmetry of memory is exactly why these rules have to be measured on a log, and why the default in this plan is to leave the trade alone.

Trailing stops on a 1.5R target are mostly noise. Trailing a stop behind each M1 swing on a 7.5-pip target means trailing inside the spread-and-noise zone. In practice it behaves like a tight break-even rule with extra discretion. If you want to test trailing, test it with a larger target and treat it as a different strategy.

Abnormality exits must stay rare. If your journal shows "abnormality exit" more than once or twice a month, you are either trading too close to news, using a platform you cannot rely on, or using the label to disguise discretionary exits. Each case needs fixing at its source.

Don't confuse management with re-entry. If a trade is stopped and a fresh, complete setup forms later in the window, that is a new trade under the full checklist, counted against your trade cap and consecutive-loss breaker in Lesson 10. "Getting back in" a stopped trade on the next candle is not management. It is the opening move of tilt, which Lesson 11 deals with.

THE RULES

- Default: bracket attached at entry; never move the target; never widen the stop; never add; never close on a feeling
- Break-even, partials and time stops are optional and decided per testing block — never per trade
- A break-even stop at entry still costs the toll (about 0.2R); count it as a loss in the journal
- Optional time stop: close at market if not at +0.5R after six M5 candles
- Abnormality exit only for platform failure, a spread blow-out or an unscheduled shock — log the reason every time
- Compare management rules on identical setups by expectancy in R after costs, not by win rate

Summary

- Once a scalp is live, the plan's default is to leave it alone: the bracket does the work.
- A break-even stop at entry costs about 0.2R and converts some winners as well as some losers; with this plan's numbers it helps only if fewer than 40% of back-to-entry trades would have won.

- Partials at 1R and 2R pay the same maximum as a single 1.5R target but need a longer move; they smooth variance rather than reliably adding edge.
- A six-candle time stop cuts dead trades early at the cost of some slow winners; test it before using it.
- Test every management rule on the same setups, compare expectancy in R, then commit to one version for a whole block.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Your all-in cost is 1.0 pip and your stop is 5 pips. You move your stop to entry and it is hit. What is the result in R?

   A. 0R — break-even

   B. −0.2R

   C. −1.0R

   D. +0.2R

2. Using this plan's numbers, when does a break-even rule at +1R improve expectancy?

   A. Always — it removes risk

   B. When fewer than 40% of trades that return to entry would have gone on to hit target

   C. When more than 60% of trades are winners

   D. Never

3. Compared with a single 1.5R target, what does closing half at 1R and half at 2R do to the best possible outcome after costs?

   A. Raises it to +1.8R

   B. Leaves it at +1.3R, but price must travel to 2R to earn it

   C. Lowers it to +0.8R

   D. Removes the toll

4. In the time-stop chart, the trade was closed after six candles and later the original stop was hit. What is the right conclusion?

   A. Time stops always improve results

   B. This trade was helped; others will be cut before they win, so the rule must be tested over a block

   C. The target should have been moved closer

   D. The trade should never have been taken

5. A trader adopts a break-even rule and sees their win rate rise from 50% to 58%. Is the rule working?

   A. Yes — a higher win rate means more profit

   B. Not necessarily — compare expectancy in R after costs, because scratches can raise win rate while lowering expectancy

   C. Yes, if the sample is over 20 trades

   D. No — break-even rules never work

6. Which of these is a legitimate reason to close a live scalp early under the plan?

   A. Price has stalled and you feel nervous

B. You want to free up attention for another pair

C. The platform has started freezing and the spread has jumped to several times normal

D. The trade is +1.2R and you would like to lock it in

Daily Loss Limits, Trade Caps and the Consecutive-Loss Breaker.

MODULE 4 — THE SCALPER'S OPERATING SYSTEM · LESSON 10

Set the five numeric limits that govern every scalping session — daily loss limit, trade cap, consecutive-loss breaker, session clock and weekly limit — understand the variance that makes them necessary, and enforce them mechanically.

Your stop-loss protects you from a single trade. Nothing in the four-step plan protects you from yourself across a morning. That is the job of this lesson.

Scalping compresses a month's worth of decisions into a couple of hours. A swing trader who has a bad week loses a few trades. A scalper who has a bad hour can take eight, each one faster and less considered than the last. The losses that end scalping careers are almost never one big trade. They are a sequence of ordinary ones taken after the trader should have stopped.

So the plan ends every session by rule, not by mood. There are five numbers. You write them down while calm, you enforce them mechanically where your platform allows, and you never renegotiate them while trading.

The five numbers

These are the plan's defaults. They are illustrative, sensible starting points, and you may adjust them at a weekly review — never during a session.

1. **Daily loss limit: −3R.** Once the day's realised result reaches −3R or worse, you open no new trades. The session is over.
2. **Trade cap: 6 trades per session.** The sixth trade is the last, whatever happens to it.
3. **Consecutive-loss breaker: 3.** Three losing trades in a row ends the session, even if the daily limit has not been reached.
4. **The session clock.** No new entries after the window closes — 10:30 UK for London, 15:30 for the overlap. Trades already open run to their bracket (or their time stop, if you use one).
5. **Weekly loss limit: −6R.** Reach it and you stop live trading until your weekly review.

In money, with an illustrative £10,000 account risking 0.5% per trade, one R is £50. The daily limit is £150, or 1.5% of the account. Because the limit stops you *opening* trades rather than capping the loss exactly, and each full loss costs about 1.2R after costs, a realistic worst normal day is around −3.6R to −4R: roughly £180 to £200, or 2%. That is annoying. It is not dangerous. That is exactly the point: **a maximum-loss day should be repairable by a couple of ordinary good days.**

KEY POINT

The daily loss limit is the scalper's most important risk control. It caps how much damage a bad hour — or a bad version of you — can do.

Why limits are not pessimism: the variance

Many traders resist limits because they feel like planning to fail. The arithmetic says otherwise. Limits exist because losing streaks are *normal*, even for a method with a genuine edge.

Take a hypothetical method that wins half its trades. That is roughly where this plan's 1.5R target sits, and it is illustrative, not a claim about anyone's results. Pure chance then produces streaks like these:

TRADES IN THE SESSION	CHANCE OF AT LEAST THREE LOSSES IN A ROW
4	about 19%
6	about 31%
10	about 51%

And over a longer run of 200 trades at a coin-flip win rate, the longest losing streak is typically somewhere around six to eight trades.

Read that table slowly. If you take six trades a session, the consecutive-loss breaker will fire in roughly one session in three *purely by chance*, with nothing wrong with you or the method. The breaker is not an alarm that says "you have failed". It is a routine part of the method's operation, like a fuse.



A grinding, choppy uptrend: the averages stay stacked and rising, and three pullback longs each pass the checklist at entry. Each is stopped by the next, deeper pullback before the trend makes progress. After the third loss the session is over at about −3.6R. Then the trend finally runs. The trader is flat and that is correct — the breaker is not a forecast that the market will keep losing, it is a decision about who should be making the next trade.

The last sentence of that caption is the heart of this lesson. Look at what happened next on the chart and every instinct says the breaker cost money. On this morning, it did. But the rule is not about the market. It is about the person.

The fourth decision

Research on decision-making under pressure points one consistent way: judgement degrades with fatigue and with emotional arousal, and the person degrading rarely notices. Three consecutive stop-outs inside an hour is close to the perfect recipe for both. The trade you are tempted to take after three losses is not being chosen by the same trader who chose the first three. It is being chosen by someone who wants their money back.

That is why the breaker is set at three regardless of how good the next setup looks. The breaker does not exist because three losses prove anything statistically. They do not. It exists because the fourth decision after three losses is where traders reliably break their own rules.

COMMON MISTAKE

"One more, and then I'll stop." That sentence has ended more scalping accounts than any market move. If you hear yourself negotiating with a limit, the negotiation is the signal — the session is already over.

The trade cap and the clock

The trade cap and the session clock protect against the opposite failure: not tilt, but **overtrading** — taking more trades than the setup actually produces.

Overtrading doesn't feel like a malfunction. It feels like diligence. But every trade beyond your genuine setups is a lower-quality trade (we will call it a B-grade in Lesson 11), and every one of them pays the full toll. A swing trader who overtrades dilutes their edge. A scalper who overtrades pays a fixed, certain fee to dilute theirs.

The cap of six reflects what the plan normally produces. A typical London window offers somewhere between zero and five properly qualified setups. If you are regularly reaching six, the likeliest explanation is not an unusually generous market. It is a generous definition of the setup.

The clock matters for the same reason. Lesson 3 showed where the scalper's toll buys the most movement. After the window, liquidity fades, ranges narrow and the trend that powered the morning usually stalls.



The London window does its job: a clean 25-pip trend with two good pullbacks. Then 10:30 passes and EUR/USD spends the next four hours in a 5-pip box between roughly 1.0870 and 1.0875. Each B marks a 'dip to the 20 EMA' the trader bought anyway. A 7.5-pip target cannot fit inside a 5-pip range, so the best case for each is a scratch that pays the toll. The window closed; the trader did not.

The weekly limit and the wider view

The daily limit stops a bad session. The weekly limit stops a bad *week* — the kind where each session hits −3R and the trader keeps turning up the next morning assuming it will even out.

At −6R for the week, live trading stops until the weekly review. You may still practise on a simulator, but only the plan, and only as practice. The review asks whether the losses were valid trades meeting variance (it

happens) or rule breaks, slippage creep or a change in market conditions. Lesson 11 shows how to run it.

One level further out, it is sensible to set a **drawdown rule**: if your account falls 10R below its highest point, you return to the simulator for a block of at least 50 trades before trading live again. That is not a punishment. It is a recalibration, done while the damage is still small.

The optional stop-win

There is one more limit worth considering, and it surprises people: a limit on good days. After an unusually strong session — say +4R — some traders simply stop.

The reasoning is psychological, not statistical. The euphoric brain and the tilted brain make strikingly similar decisions: bigger size, looser setups, fewer checks — only with more confidence. A trader who has just banked four wins in an hour is at real risk of taking a fifth trade they would normally grade B. The stop-win is optional, and you should test whether you need it by looking at your journal: what do your trades look like after a big morning?

Enforce it mechanically

Limits that live only in your head are suggestions. Make them physical.

- **Use your platform's daily loss lock-out** if it has one, set to your daily limit in money.
- **Write the five numbers on a card** beside your screen, next to your cost card from Lesson 2.
- **Keep a tally**: one mark per trade, a circle for each loss. When you see three circles in a row, or six marks, or the clock reads 10:30, the decision has already been made.
- **When a limit fires, leave the room.** Not to another chart, not to "just watch". Log the session, close the platform, and walk away.

Practice drill

Your journal shows five trades today: two winners, three losers, not consecutive, for a net −1.4R. No breaker has fired. It is 15:20 UK in the London–New York overlap, H1 bias long, and the M5 filter is passing.

PRACTICE DRILL · BUY, SELL OR WAIT? DECIDE, THEN TURN THE PAGE



Five trades in, net −1.4R, no breaker. At 15:20 the ringed candle completes a pullback setup on USD/JPY. Do your limits allow this trade, and what happens to your session afterwards?

THE REVEAL



THE ANSWER

Trade — and it is the last of the day. The ringed candle is a bullish engulfing after a pullback into the band. Your limits allow it: five trades taken (cap six), −1.4R (limit −3R), no three-loss run, and the entry is before 15:30. Buy-stop at 150.268, 0.2 pips above the trigger. One pip under the pullback low gives a 4.9-pip stop, below this illustrative 6-pip USD/JPY minimum, so the stop is widened to 150.208 and size reduced. The trade fills and is stopped about forty minutes later, taking the day to about −2.6R. That is a correct decision with a losing outcome. The sixth trade has been used, so the session ends there — whatever the market does next.

Going deeper

Limits do not create edge. They truncate the left tail of your daily results, which protects your account and your psychology. They can also cut off some good trades, as the breaker chart shows. Over a long sample, a plan with limits may show slightly lower raw expectancy per day than the same plan without them, and much lower variance and drawdown. For a scalper, that trade is almost always worth making, because the real-world alternative is not "the same trades without limits". It is the same trades plus the ones a tilted trader adds.

Do not resize to make limits bite. Some traders, frustrated that their limit stops them early, raise their risk per trade "to make the trades count". This turns a 1.5% daily limit into a 3% one and changes nothing else. Risk per trade is set from the account; limits are set in R from that.

Slippage counts. Your realised results include slippage, so a −1.4R loss through a slipped stop counts as −1.4R towards the limit. If slippage is pushing you into the limit regularly, the problem is upstream — trading near news or in thin conditions — and belongs in your cost audit.

Count scratches honestly. A break-even exit at −0.2R or a time-stop exit at −0.3R is a loss for the consecutive-loss breaker. Calling it "not really a loss" so the streak resets is exactly the kind of negotiation the breaker exists to stop. If you want a different rule, change it at review time, in writing.

The limits are a test result in their own right. Track how often each limit fires. If the daily limit fires once a month, it is doing its job quietly. If it fires every week, something is wrong — with your costs, your window, your setup definition or your state — and the limit has just told you so cheaply.

THE RULES

- Daily loss limit: −3R realised — no new trades once reached
- Trade cap: six trades per session, whatever the results
- Consecutive-loss breaker: three losses in a row ends the session; scratches count as losses
- No new entries after the window closes (10:30 or 15:30 UK); open trades run to their bracket
- Weekly loss limit: −6R — stop live trading until the weekly review
- Limits change only at a scheduled review, in writing — never during a session

Summary

- Five numbers govern every session: −3R daily limit, six-trade cap, three-loss breaker, the clock, and a −6R weekly limit.
- Losing streaks are normal: at a coin-flip win rate, six-trade sessions contain three losses in a row roughly a third of the time.
- The breaker exists because the fourth decision after three losses is where traders break their rules, not because the market is predictable.
- The cap and the clock stop overtrading, which costs a scalper the full toll on every low-quality trade.
- Enforce limits mechanically — platform lock-out, a card, a tally — and leave the room when one fires.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Your risk per trade is £40. What is your daily loss limit in money under the plan's default?

   A. £40

   B. £80

   C. £120

   D. £240

2. Your session so far: win, loss, loss, time-stop exit at −0.3R. A valid setup appears. What does the plan say?

   A. Take it — the time stop was not a real loss

   B. Session over — that is three losses in a row, and scratches count

   C. Take it at half size

   D. Take it only if it has level confluence

3. At a hypothetical 50% win rate, roughly how often will a six-trade session contain three losses in a row purely by chance?

   A. About 1 in 20

   B. About 1 in 10

   C. About 1 in 3

   D. About 2 in 3

4. In the breaker chart, the trend ran strongly after the trader stopped. What does that tell you about the breaker?

   A. It should be raised to five losses

   B. Nothing on its own — the breaker is about the trader's next decision, not a forecast of the market

   C. It only works in ranging markets

   D. Breakers always cost money

5. It is 10:41 UK. You traded the London window and have taken four trades. A clean pullback setup appears on EUR/USD. What do you do?

   A. Take it — you are under the trade cap

   B. Take it only with level confluence

   C. Nothing — no new entries after the window closes at 10:30

   D. Take it on the 1-minute chart instead

6. In the USD/JPY drill, why was the trade allowed, and why did the session end after it?

   A. It was allowed because the trader was losing; it ended because of the daily limit

   B. It was allowed because all limits had room; it ended because it was the sixth trade

C. It was not allowed — five trades is the cap

D. It was allowed; the session continues until 15:30

The Psychology of Rapid Decisions — and the Ten-Second Scalp Journal.

MODULE 4 — THE SCALPER'S OPERATING SYSTEM · LESSON 11

Budget your attention like risk, recognise your own tilt tells before they reach the order ticket, grade every trade A or B, keep a ten-second journal, and run a weekly review in R that audits the left tail first.

Every lesson so far has assumed a trader who follows the rules. This one deals with the trader who actually turns up: tired some mornings, irritated on others, occasionally euphoric, and always fully convinced that today's exception is justified.

Scalping is harder on that trader than any other format. The trade cycle is minutes long, so a loss and the chance to "fix it" arrive almost together. Losses cluster, as Lesson 10 showed. Costs mean you can trade well and still finish a session down, which feels unfair. And the sheer number of decisions in a two-hour window wears down exactly the judgement the method depends on.

None of this is solved by willpower. It is solved by structure: fewer live decisions, pre-written defences, and a journal that tells you the truth when your memory will not. This lesson builds all three.

Attention is a budget

Every trading plan has a risk budget. Almost none has an **attention budget**, and for a scalper attention is the scarcer resource.

Decision quality is not a fixed trait. Sustained rapid choices under pressure wear down accuracy, patience and impulse control, and the person being worn down rarely notices at the time. A scalper making a handful of entry and exit decisions, plus a few hundred "is this my setup?" judgements in two hours, is doing one of the most mentally expensive jobs in retail trading.

The plan already spends this budget carefully, and now you can see why each piece is there:

- **The window is two and a half hours, not all day.** Two focused hours beat four ragged ones.
- **The trade cap is six.** Each trade spends attention whether it wins or loses.
- **Almost every choice is made in advance.** Pair, session, size, stop rule, target, order types, news blackouts and limits are all decided while calm.

That last point is the deepest lever. Sort every decision in your process into two piles: those that can be made once, before the session, and those that genuinely must be made live. If you have followed this course, the live pile is startlingly small. Two questions, both binary:

1. **Is this my setup — yes or no?**

2. **Is anything abnormal — the spread, the speed, the platform, or me — that says stand down?**

Two yes-or-no questions is a load a human can sustain for a couple of hours. Twelve open-ended questions is not.

> KEY POINT
> Reduce live trading to two binary questions — "is this my setup?" and "is anything abnormal?" — and decide everything else before the session.

Rhythm and the ten-second reset

Watch a disciplined scalper and the striking thing isn't speed. It's rhythm. Candidate, check, act or pass, log, reset. The same loop at the same tempo whether the last trade won or lost.

Build that rhythm deliberately. After every trade, run the same **ten-second reset**: write the journal line (below), sit back, take one slow breath, and re-scan your pre-marked levels before looking for the next setup. It is the scalper's version of a tennis player's routine between points, and it does the same job: each point starts from neutral.

Add a break. Standing up and looking out of a window for five minutes every 45 minutes or so costs you a few candidate setups and buys back a noticeable amount of judgement. The market will produce another setup after your break. It always does.

The abnormality override

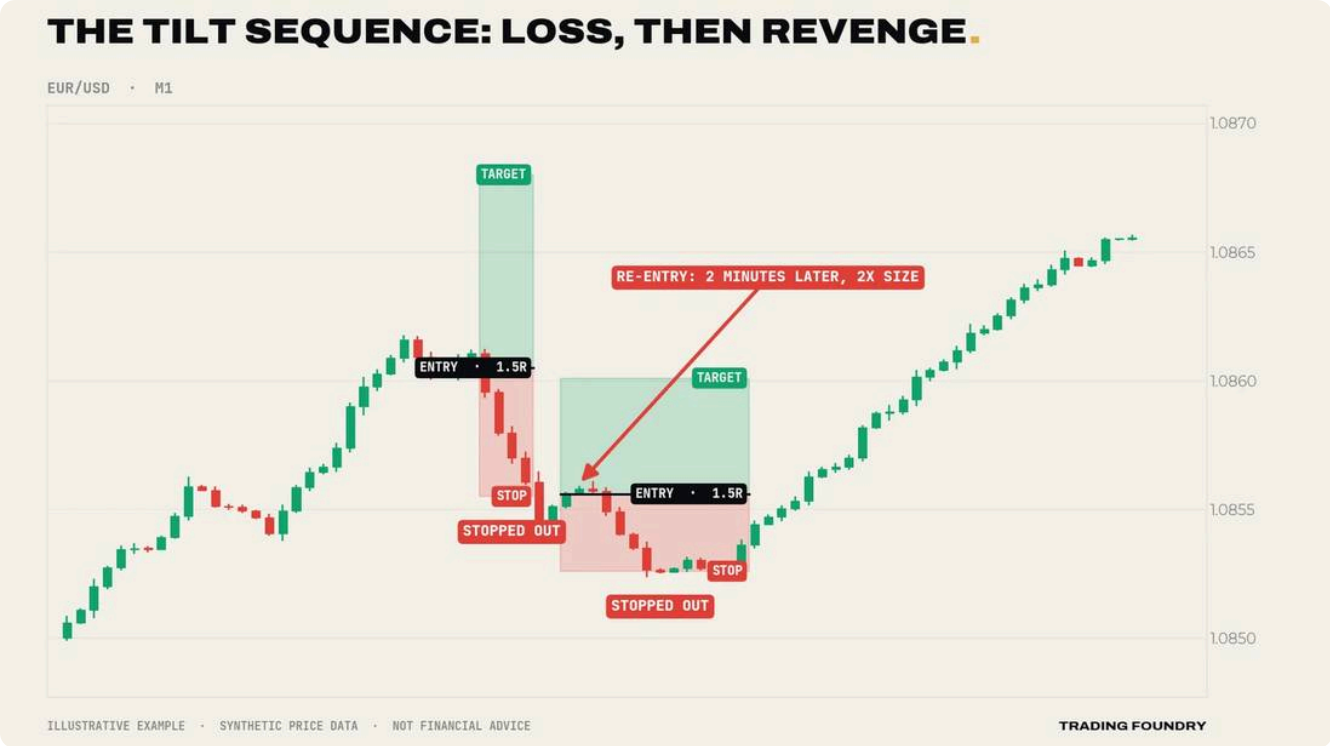
One instruction sits above the whole loop: **stand down when anything is abnormal.** The spread suddenly wide. Price behaving violently ahead of news you had missed. The platform lagging. Or you — angry, foggy, or checking your profit and loss every thirty seconds. Your method was tested under normal conditions; its statistics say nothing about abnormal ones.

Say it out loud if it helps: "Abnormal. Standing down." Then log the stand-down with a one-word reason, the same way you log trades.

Tilt: what it is and why scalping breeds it

Tilt is the state in which emotion — usually anger, or its politer cousin, urgency — takes over decision-making while leaving you fully convinced you are still being rational. Nobody on tilt feels on tilt. They feel *decisive*.

The classic sequence runs like this: a normal loss; a rushed re-entry; a proper loss; and then the moment the goal changes from *executing the process* to *getting today's money back*. That change of goal is the event to fear. Once today's result becomes the target, the checklist stops being consulted, size creeps up and stops become suggestions.



A valid long is stopped out for −1.2R. Two minutes later the trader buys again at market — no pullback, no trigger, a 3-pip stop chosen because it 'felt tight enough', and double size to win the loss back quickly. That second trade loses 1.6R on its own, about −2.8R inside twelve minutes. Then price recovers without them. The revenge trade was not a second attempt at the first idea. It was a different trader making a different decision.

Know your tells

Tilt announces itself before it acts, if you know what to look for. The signs differ by person but fall into recognisable families.

- **Physical:** jaw tight, leaning towards the screen, clicking between windows with nothing to check.
- **Behavioural:** glancing at your profit and loss between candles; taking a trade within seconds of a stop-out; size quietly "rounding itself up"; the checklist being run in half a second.
- **Verbal:** the voice in your head is remarkably reliable. *It owes me one. This one's obvious, no need to check. I'll just make back the morning and stop.* Any sentence containing "owes", "deserve" or "back" should set off the alarm.

Write your own list while calm — three physical tells, three behavioural, three phrases — and put it where you trade. You will not diagnose tilt from inside tilt; that is precisely what tilt prevents. But you can recognise a written tell the way you recognise your own name, even in a fog. Lesson 10's breaker and daily limit are the mechanical backstop for the moments when even the list fails.

COMMON MISTAKE

Treating tilt as something that happens to other, less disciplined traders. Tilt happens to everyone who trades fast enough for long enough. The professional difference is not that they never feel it; it is that they built a machine that keeps it away from the order ticket.

A-grade and B-grade: the overtrading audit

Overtrading is tilt's respectable-looking sibling. It feels like hard work: taking trades that are *nearly* the setup — a pullback that did not quite reach the band, a trigger that was nearly an engulfing, a level that was nearly marked. For a scalper it carries a double penalty. A B-grade trade has less edge or none, and it pays the full toll anyway.

The fix is a single letter in your journal, written **at entry, before the outcome is known**:

- **A** — every item on the checklist passed.
- **B** — anything less.

There is no such thing as a reduced-size B-grade trade. A B-grade trade does not get a smaller size. It gets no size. The point of the letter is to catch the ones that slip through anyway, so you can see what they cost.



The A trade: a five-candle pullback into the band, an engulfing trigger, a buy-stop at 1.08658 and a 5-pip stop. It reaches its 1.5R target. The B trade later that morning: a two-candle dip that never came near the 20 EMA, a momentum close and a buy-stop at 1.08775. The structural stop was too tight, so it was widened to the 5-pip minimum — and price rolled back into the band and through it. The B trade did not fail because of bad luck. It was never the setup.

Most traders who grade honestly for a few weeks discover the same uncomfortable and liberating fact: their A trades carry whatever edge they have, and their B trades are a fee paid to feel busy.

The ten-second scalp journal

Every rule in this course depends on data, and the data comes from one humble document. For a scalper the journal must be light — one line per trade, written during the ten-second reset — or it will not happen.

The working minimum, one line per trade:

FIELD	EXAMPLE	WHY IT MATTERS
Time	08:42	Results by half-hour (Lesson 3)
Pair and direction	EUR/USD L	Pair comparison
Grade	A	The overtrading audit
Tags	Eng / 20 / L	Trigger type, pullback depth, level confluence
Stop in pips	5.0	Checks the 5x rule and the maximum
Slippage	+0.3	Intended versus filled price; your real cost
Exit	T	T target, S stop, BE, TS time stop, AB abnormality
Result in R after costs	+1.3	The only unit you compare
State	calm	Calm, rushed, tired or tilted

Nine short fields, about ten seconds. No essays. Add a separate line for every **stand-down**, with the time and a one-word reason ("spread", "news", "me"). Over a month that column becomes its own education.

What the journal buys you is protection from the most persuasive storyteller in the room: your memory. Memory keeps the dramatic trades. The journal keeps all of them. Memory says the session went wrong because of one unlucky sweep; the journal says you took three B-grades after 10:00 while marked "tired".

The weekly review: thirty minutes, in R

Once a week, on a fixed day, spend thirty minutes with the journal. Review in **R**, not money and not pips, because R is the unit your process controls. Ask five questions, in this order.

1. **What did the left tail cost?** In a rule-following scalping journal almost nothing should sit beyond about −1.5R. Every trade that does has a story — slippage through a stop in a fast market, or a broken rule — and each story gets investigated first, because a handful of −3R trades can erase a month of well-executed winners.
2. **What share of trades were A-grade?** Then compare the R results of A and B trades separately.
3. **How do results split by half-hour and by state?** Look for the hours, and the moods, that cost you.
4. **Is slippage stable, or creeping up?** Creeping slippage usually means trading closer to news or later into thin hours.
5. **Is the sample big enough to conclude anything yet?** Twenty trades is weather. Only hundreds are climate.



The trade that the weekly review exists to find. A valid GBP/USD long from a pin bar at 1.27218, with the stop at the 7-pip minimum (1.27148). As price fell towards it, the trader dragged the stop down to 1.27040 'to give it room'. The trade box now reads 0.6R: a 1.5R plan has become a bad bet. Price ignores the extra room and takes the new stop too, for about −2.7R instead of −1.2R. One line like this in the journal costs more than two clean losses.

The monthly view asks bigger questions. Over a few hundred trades, is the plan's expectancy after costs actually positive? Has the market changed — spreads wider, your window quieter — in ways that alter the Lesson 2 arithmetic? Change rules only at review time, in writing, never mid-session. A rule you can edit while trading is not a rule.

Exit criteria, written in advance

Finally, write down — before you trade live — what would make you stop. For example: *if after 100 live trades at minimum size my expectancy after costs is clearly below my simulator results, or the daily limit fires more than once a week, or my state column keeps saying "tilted", I pause live trading and return to the simulator or to a slower format.*

That is not defeatism. Whether you are in the minority who can operate this format well is an empirical question. Exit criteria let the data answer it, rather than your mood on a bad Tuesday.

Going deeper

Euphoria is tilt with better manners. After an unusually good run, the brain makes similar decisions to the tilted one — bigger size, looser setups, fewer checks — with more confidence. If your journal shows B-grades clustering after big winning sessions, Lesson 10's optional stop-win is for you.

Sample size and the streak trap. At a hypothetical 50% win rate, ten-trade runs with seven or more losses happen about one time in six by chance. That is enough for most traders to start "fixing" a method that isn't

broken. Judge the method on hundreds of A-grade trades; judge yourself on the A-grade percentage, which you control completely.

The state column is the most predictive field. Many traders who keep one find that "rushed" and "tired" trades are mostly B-grades. If that shows up in your data, the fix is not trading psychology. It is a shorter session, a break schedule, or not trading on days you mark as tired before the open.

Journal the stand-downs too. A stand-down log shows which abnormalities recur and when. It also gives you something to feel good about on days with no trades, which matters: a scalper who only feels productive when trading will find trades to take.

THE RULES

- Two live questions only: is this my setup, and is anything abnormal? Everything else is decided before the session
- Ten-second reset after every trade: journal line, sit back, one breath, re-scan levels
- Grade every trade A or B at entry; B-grade trades get no size
- Written tilt tells beside the screen; a negotiation with any rule ends the session
- Journal every trade and every stand-down; review weekly in R, auditing the left tail first
- Change rules only at a scheduled review, in writing; hold pre-written exit criteria

Summary

- Attention is a budget: a short window, a trade cap and pre-made decisions leave only two live, binary questions.
- Tilt feels like decisiveness; write your tells down while calm and rely on mechanical breakers when the list fails.
- Grade every trade A or B at entry. B-grade trades pay the full toll for little or no edge.
- A nine-field, ten-second journal is the only honest witness to your trading.
- Review weekly in R: left tail first, then A-grade share, hours and states, slippage, and sample size.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which two questions should remain as live decisions during a session?

   A. Which pair, and what size?

   B. Is this my setup, and is anything abnormal?

   C. Where is the target, and should I move it?

   D. How much am I up today, and should I keep going?

2. Which of these is the clearest sign of tilt?

   A. Taking a valid A-grade trade after a loss

   B. Standing down because the spread has widened

   C. Thinking 'this one's obvious, no need to check' straight after a stop-out

   D. Logging a stand-down

3. In the A/B chart, what made the second trade a B-grade?

   A. It lost

   B. The pullback never reached the 20–50 EMA band

   C. It was a short

   D. It was taken in the overlap

4. A trader wants to take a B-grade setup 'at half size, just in case'. What does the plan say?

   A. Fine — half size halves the risk

   B. No — B-grade trades get no size at all

   C. Fine, but only with level confluence

   D. Only after an A-grade winner

5. In your weekly review, what should you look at first?

   A. Total profit in money

   B. Win rate

   C. The left tail — every trade worse than about −1.5R

   D. The best trade of the week

6. In the 'moved stop' chart, what did moving the stop do to the trade?

   A. Improved it, because the stop survived longer

   B. Turned a 1.5R plan into a 0.6R bet and a −2.7R loss

   C. Nothing — the loss was the same

   D. Made it a break-even trade

Capstone — The Complete Scalping Playbook.

MODULE 4 — THE SCALPER'S OPERATING SYSTEM · LESSON 12

Run the whole method from the night before to the weekly review, follow three fully worked trades (including a valid loser) and a session where the correct number of trades was zero, and leave with the strategy passport and full pre-trade checklist.

This is the whole course on a few pages. Everything from the previous eleven lessons appears here once, in the order you will use it, with nothing new added. If a step in this playbook surprises you, go back to its lesson before you take a simulated trade.

The playbook is built around one session — London (08:00–10:30 UK) or the London–New York overlap (13:00–15:30 UK) — on one pair. It has three phases: before the session, during it, and after it. Then come three complete worked trades, one of which loses, and a morning on which the plan's answer was simply "not today".

A reminder that matters more here than anywhere: every chart in this lesson is an illustrative training chart, not real market data, and every number in R is hypothetical. The plan is a method to test on a simulator, not a promise about results.

Phase 1 — Before the session (15 minutes)

1. **Check the calendar.** Note every high-impact release in or near your window. Mark a blackout from 15 minutes before to 15 minutes after each one. If a major release sits in the middle of your window, consider not trading that day at all.
2. **Read your cards.** Your cost card (all-in round-trip cost and the minimum stop it implies, from Lesson 2) and your limits card (−3R daily, six trades, three-loss breaker, the clock, −6R weekly, from Lesson 10).
3. **Set the H1 bias (Step 1).** Long-only above a rising 50 EMA with higher highs and higher lows; short-only for the mirror image; otherwise no trading today. Check the nearest H1 level in the bias direction is at least twice your typical target away.
4. **Mark your micro levels.** Prior-day high and low, Asian range high and low, the nearest 00 and 50 round numbers, the day's open. Five or six lines; no more (Lesson 8).
5. **Prepare the cockpit.** M5 chart with the 20 and 50 EMAs, M1 chart beside it if you are running the M1 block, a one-click order panel with your size table to hand, a live spread readout, the journal open. Nothing else on screen (Lesson 7).
6. **State check.** Tired, angry, distracted or ill? Write it in the journal and, if in doubt, do not trade. A skipped session costs nothing.

Phase 2 — During the session

Step 2: the M5 filter. For longs, the 20 EMA above the 50 EMA, both higher than six candles ago, at least 2 pips apart on EUR/USD, with a fresh swing high in the last 12 candles. Mirror for shorts. If the filter fails, wait.

Step 3: the pullback and trigger. At least two counter-trend candles, a low touching or entering the 20–50 EMA band, no close beyond the 50 EMA. Then one of three trigger candles: engulfing, rejection pin bar (wick at least twice the body, close in the outer third) or a close beyond the prior candle's extreme. If you are running the M1 block instead, the trigger is an M1 close beyond the last M1 lower high (Lesson 7).

Step 4: the exits. Stop 1 pip beyond the pullback extreme. Widen to your minimum if closer. If an obvious level lies within 2 pips beyond the stop, move the stop 1 pip beyond that level. Skip if the result exceeds your maximum (8 pips on EUR/USD). Target 1.5R from the fill. Room check: skip if a pre-marked level sits between entry and target.

The order. Stop-entry 0.2 pips beyond the trigger candle, cancelled after two M5 candles (three M1 candles). Bracket attached: stop-loss and limit target go in with the entry. Size from the stop, rounded down.

While the trade is live. Nothing — unless your block includes a tested time stop (close if not +0.5R after six M5 candles), a tested break-even rule, or an abnormality forces an emergency exit (Lesson 9).

After every trade. The ten-second reset: journal line, sit back, one breath, re-scan your levels. Check the tally against your limits.

The two live questions. Is this my setup? Is anything abnormal? Everything else was decided in Phase 1.

Phase 3 — After the session (5 minutes daily, 30 minutes weekly)

Close the platform when the clock, the cap or a limit says so. Check every journal line is complete, including stand-downs. Once a week, run the review from Lesson 11: left tail first, then A-grade share, results by half-hour and state, slippage, and sample size. Change rules only then, and only in writing.

KEY POINT

The playbook is three phases and two live questions. Every decision that can be made calmly is made before the session; the session itself is recognition and execution.

Worked trade 1 — EUR/USD, London, long: target

Before the session. Cost card: 1.0 pip all-in, so a 5-pip minimum stop. H1 bias long: price above a rising 50 EMA, higher highs and higher lows, the nearest H1 resistance about 30 pips away. Levels marked: Asian range roughly 1.0834 to 1.0842, the 1.0850 round number, the prior-day high at 1.0870. No high-impact news until 13:30.



London breaks out of the Asian range and runs to 1.0862. The pullback reaches the 20 EMA at 1.0851, just above the 1.0850 round number, and the ringed candle engulfs the previous red body. Buy-stop at 1.08548. The basic stop would sit exactly on 1.0850, so the sweep-zone rule moves it to 1.0849: a 5.8-pip stop. The 1.5R target at 1.08635 sits well below the prior-day high, so the room check passes. Target reached ten candles after the fill.

The filter. At the trigger, the 20 EMA is about 6 pips above the 50, both higher than thirty minutes earlier, and the high at 1.0862 was made five candles before. Passes.

The pullback. Five counter-trend candles, a low at 1.0851 inside the band, no close below the 50 EMA. Qualifies, with level confluence — logged as "L".

The order. Buy-stop 0.2 pips above the engulfing high: 1.08548. Stop: 1 pip under the 1.0851 low is 1.0850 — on the round number, so it moves to 1.0849. That is 5.8 pips, inside the 5–8 band. Target: 1.5 × 5.8 = 8.7 pips, so 1.08635. Room: the prior-day high is 15 pips above the target. Size, with an illustrative £10,000 account at 0.5% risk: £50 ÷ (5.8 × £7.90) ≈ 1.09 lots, rounded down.

The result. Filled on the next candle, target reached about fifty minutes later. Journal: *08:52, EUR/USD L, A, Eng/20/L, 5.8, slip 0.0, T, +1.3R, calm.*

Worked trade 2 — GBP/USD, overlap, short: a valid loss

Before the session. Cost card for GBP/USD: 1.4 pips all-in, so a 7-pip minimum stop. H1 bias short: lower highs and lower lows below a falling 50 EMA. No releases between 13:45 and 15:30.



A steady M5 downtrend, a four-candle rally into the band and a bearish pin bar whose upper wick reaches the 20 EMA. Sell-stop at 1.26560. The structural stop (4.4 pips) is below the GBP/USD minimum, so it is widened to 7 pips at 1.26630 and size is reduced. The target at 1.26455 lies beyond the session low — normal for a continuation trade, and no pre-marked level stands in the way. Price makes 2.4 pips, then reverses through the stop. Every rule was followed.

The checks. Filter: the 20 EMA about 6 pips below the 50, both lower than six candles ago, a fresh low twenty minutes earlier. Pullback: four counter-trend candles, the high reaching the band, no close above the 50 EMA. Trigger: a pin bar with an upper wick about two and a half times its body, closing in the bottom third. All pass. Grade A, no level confluence.

The order. Sell-stop at 1.26560; stop widened to 1.26630 (7 pips); target 1.26455 (10.5 pips).

The result. Price dips to 1.26536, about a quarter of the way to target, then turns and rallies through the stop forty minutes after the fill. Journal: *14:12, GBP/USD S, A, Pin/20/–, 7.0, slip 0.0, S, −1.2R, calm.*

What to change? Nothing. This is the trade from Lesson 5 again: a valid loss is the cost of finding out. If you find yourself writing "should have known" in the journal, check whether any rule was actually broken. Here none was.

Worked trade 3 — EUR/USD, M1 block, long: target

This trader is running a 100-trade block using the M1 refinement from Lesson 7. H1 bias long, the M5 filter passing, and the M5 pullback has reached the value band — the setup is armed, so the M1 chart opens.



The M5 pullback seen on the 1-minute chart: a micro downtrend of lower highs into the M5 value band. The pullback low prints at 1.09246. Two minutes later a strong M1 candle closes at 1.09288, above the last lower high at 1.09285 — the structure shift. Buy-stop at 1.09292, stop 1 pip under the pullback low (5.6 pips), target 1.5R at 1.09376. Filled on the next candle; target reached eighteen minutes later.

The order. Buy-stop 0.2 pips above the shift candle: 1.09292. Stop 1.09236 (5.6 pips — no obvious level within 2 pips beyond it). Target 1.09376. Room: the M5 swing high this pullback came from sits above the target.

The result. Target. Journal: *09:31, EUR/USD L, A, M1shift/mid/–, 5.6, slip +0.2, T, +1.3R, calm.* The 0.2-pip slippage goes in the slippage column; it is part of your real cost.

Session tally across the three illustrative trades: +1.3R, −1.2R, +1.3R. Notice how ordinary that looks. A method like this one makes or loses money in small, dull increments, and the journal is where you find out which.

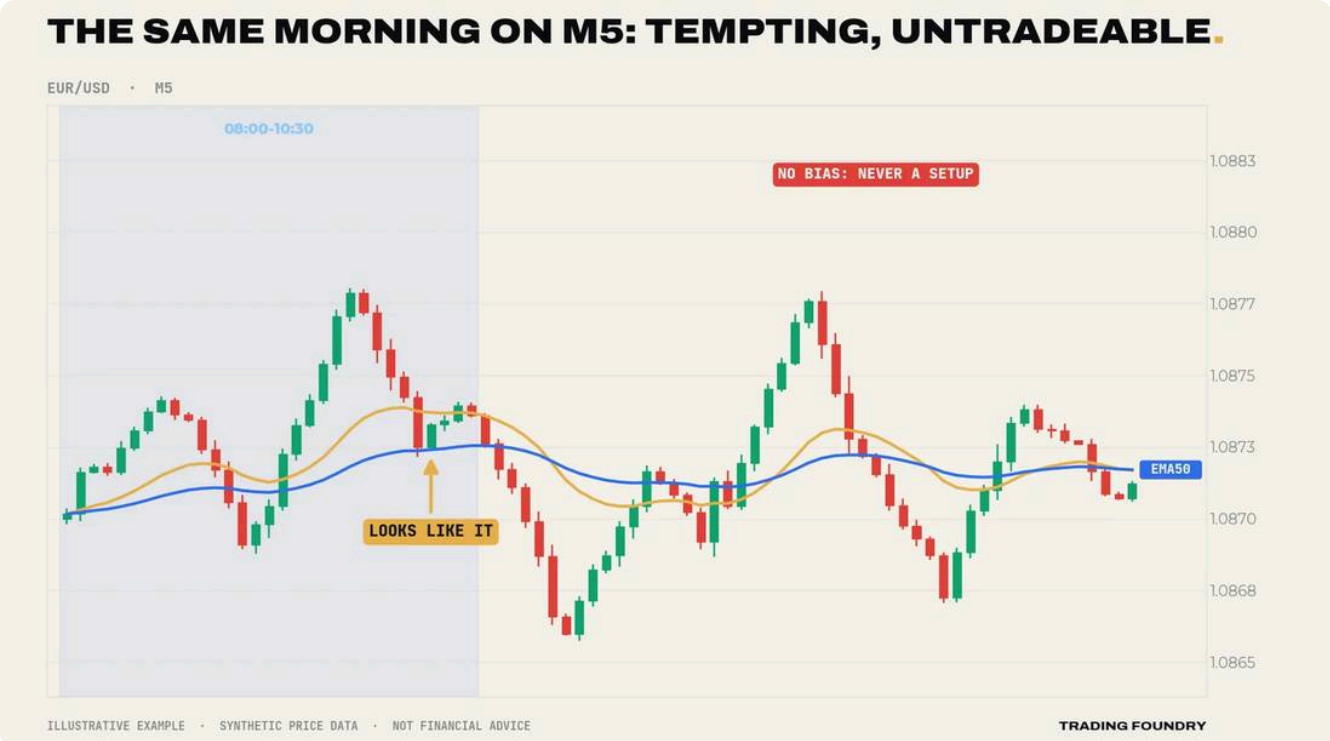
The session with no trades

The most important session in this playbook is the one that never started.



The H1 chart at 07:45. For three days EUR/USD has swung 25 to 30 pips either side of a flat 50 EMA, crossing it repeatedly, with no sequence of higher highs and higher lows or lower highs and lower lows. Step 1 has a clear answer: no bias, so no trading. The session is over before it starts, and the journal gets one line: 'No bias — stood down.'

That decision feels like nothing. It is the plan working perfectly. Here is what the morning looked like for anyone who opened the M5 chart anyway.



The same morning on the 5-minute chart. At about 10:15 there is something that looks like a pullback to the averages after a push up — but the averages are flat and woven together, and the 'trend' is a 9-pip swing inside a range. Buying it would have meant a stop-out as price fell to 1.0866. The rest of the window is more of the same. With no H1 bias, nothing on this chart was ever a setup.

COMMON MISTAKE

Treating a no-trade session as wasted time and "finding something" to make it worthwhile. On days when the plan says stand down, the only way to lose is to trade. Log the stand-down and close the platform.

The strategy passport

Market	EUR/USD first choice; GBP/USD or USD/JPY on raw-spread pricing. One pair per session. H1 for bias, M5 for the setup, M1 for optional entry refinement.
Wait for	London (08:00–10:30 UK) or the overlap (13:00–15:30 UK). H1 bias from the 50 EMA and swing structure. M5 20 EMA above the 50 (below for shorts), both sloping, at least 2 pips apart, a fresh M5 swing in the last hour. A pullback into the 20–50 EMA band without a close beyond the 50, ideally at a pre-marked level.
Trigger	An M5 engulfing, rejection pin bar or close beyond the prior candle's extreme. Stop-entry 0.2 pips beyond the trigger; cancel after two candles. (M1 block: a close beyond the last M1 lower high, cancel after three M1 candles.)
Stop	1 pip beyond the pullback extreme, moved beyond any obvious level within 2 pips. Minimum 5x your round-trip cost; maximum 8 pips on EUR/USD — outside that band, no trade.
Target	Fixed 1.5R limit order, placed at entry, never moved. Optional tested time stop: close if not +0.5R after six M5 candles.
Avoid	Asian hours on European pairs; 15 minutes either side of high-impact news; spreads above normal; flat or tangled EMAs; a target blocked by a pre-marked level; a third consecutive loss; the −3R daily limit; more than six trades; any B-grade trade.

Going deeper: from simulator to live

The method is designed to be tested before it is trusted. A sensible progression looks like this:

1. **Simulator, 200+ trades.** Use replay to collect setups fast. Log every field. Do not judge anything until you pass 200.
2. **Read the results honestly.** Expectancy after your real costs, in R. A-grade share. The left tail. Results by half-hour. If expectancy is not clearly positive after costs, the honest options are to fix costs (broker, pair, window), test one variation as a separate block, or stop. "Trading live to see if it's different" is not on the list.
3. **Live at minimum size, 100 trades.** Real fills and real emotions change things. Compare live slippage and A-grade share with the simulator.
4. **Your exit criteria apply throughout.** If live results sit clearly below the simulator over that block, or limits fire often, pause and return to the simulator. That is the system working, not failing.
5. **Scale slowly, if at all.** Increase risk per trade in small steps, only after reviews, and never to recover losses.

And remember the course's first lesson. For many readers, the honest conclusion of this process will be that scalping does not suit their costs, schedule or temperament. Reaching that conclusion with a few hundred simulated trades and a clear journal is a success. You will have learnt cost arithmetic, execution discipline and self-review that make every slower format better.

THE RULES

- One pair, one window, one setup; everything except "is this my setup?" and "is anything abnormal?" decided before the session
- Bias on H1, filter and trigger on M5 (M1 only as a pre-chosen entry block); never trade against either timeframe
- Stop beyond the pullback and beyond any nearby obvious level, inside your minimum–maximum band; target 1.5R; bracket at entry
- Limits: −3R daily, six trades, three-loss breaker, the clock, −6R weekly — enforced mechanically
- Journal every trade and stand-down; review weekly in R; change rules only at review, in writing

PRE-TRADE CHECKLIST

☐ Calendar checked; no high-impact release within 15 minutes of entry

☐ Spread at or below my measured normal; platform responsive; my state is calm

☐ Inside my window (08:00–10:30 or 13:00–15:30 UK); under six trades, above −3R, no three-loss run today

☐ H1 bias set for this direction and still valid

☐ M5 20 EMA and 50 EMA stacked in my direction, both sloping, at least 2 pips apart, fresh swing within 12 candles

☐ Pullback of at least two candles reached the 20–50 EMA band with no close beyond the 50 EMA

☐ Valid trigger closed: engulfing, rejection pin bar or close beyond the prior extreme (or the M1 shift, if this is an M1 block)

☐ Stop 1 pip beyond the pullback extreme and beyond any obvious level within 2 pips; between my minimum (5x cost) and maximum

☐ 1.5R target with no pre-marked level in the way

☐ Size calculated from the stop and rounded down; stop-entry 0.2 pips beyond the trigger with the bracket attached

☐ Grade written before entry: A only

Summary

- The playbook has three phases — before, during and after the session — and only two live questions.
- Worked trade 1 shows the full plan with level confluence and a sweep-zone stop adjustment; worked trade 3 shows the M1 block.
- Worked trade 2 is a valid loss, and the correct response to it is to change nothing.
- The no-trade session, decided at 07:45 from the H1 chart, is the plan working perfectly.

- Test the method on 200+ simulated trades, then 100 at minimum size, with pre-written exit criteria throughout.

CHECK YOURSELF · ANSWERS AT THE BACK

1. In Phase 1 the H1 chart shows price swinging either side of a flat 50 EMA with no clear swing sequence. What happens to the session?
   A. Trade both directions on M5
   B. Trade only the 1-minute chart
   C. No trading today — Step 1 has given no bias
   D. Trade at half size
2. In worked trade 1, why was the stop placed at 1.0849 rather than 1.0850?
   A. To make the position larger
   B. Because 1 pip under the pullback low landed exactly on the 1.0850 round number, so the sweep-zone rule moved it beyond
   C. Because the minimum stop is 6 pips
   D. Because the prior-day high was nearby
3. Worked trade 2 met every rule and lost. What should the journal and the plan record?
   A. Grade B and tighten the rules
   B. Grade A, −1.2R, and no rule changes
   C. Remove GBP/USD from the plan
   D. Require two triggers in future
4. Using the playbook's numbers, a long has a 6-pip stop on EUR/USD and the prior-day high is 7 pips above entry. What does the room check say?
   A. Trade — the level is above entry
   B. Skip — the 1.5R target is 9 pips away, beyond the level
   C. Trade with a target at the level
   D. Move the stop to 4 pips
5. Which of these belongs on the pre-trade checklist?
   A. My last trade was a winner
   B. The spread is at or below my measured normal
   C. The trade feels strong
   D. I am behind for the week
6. After 200 simulated trades, expectancy after costs is slightly negative. What does the playbook suggest?
   A. Go live anyway — markets differ from simulators
   B. Double risk per trade

C. Fix costs, test one variation as a separate block, or stop — not trade live to see

D. Add two more setups

Strategy passport.

The whole setup on one page. Print it and keep it by your screen.

MARKET

EUR/USD (first choice), GBP/USD or USD/JPY on raw-spread pricing; one pair per session. M5 for the setup, M1 for optional entry refinement, H1 for bias.

WAIT FOR

London open (08:00–10:30 UK) or the London–New York overlap (13:00–15:30 UK). H1 above the 50 EMA with higher highs and higher lows (or the mirror for shorts). M5 20 EMA above the 50 EMA, both sloping, with a fresh M5 high in the last hour. Price pulls back into the 20–50 EMA value band, ideally at a pre-marked micro level, without closing beyond the 50 EMA.

TRIGGER

An M5 candle that closes back in the trend direction from the value band — bullish engulfing, rejection pin bar or a close through the prior candle's high (mirror for shorts). Enter on a stop order 0.2 pips beyond the trigger candle; cancel if unfilled within two candles.

STOP

1 pip beyond the pullback extreme. Minimum stop = 5x your measured round-trip cost (5 pips on EUR/USD at a 1.0-pip toll); maximum 8 pips on EUR/USD. Outside that band: no trade.

TARGET

Fixed 1.5R, placed at entry. No moving the target. Optional tested time stop: close if not at +0.5R after six M5 candles.

AVOID

Asian hours on European pairs, the 15 minutes either side of high-impact news, spreads above normal, tangled or flat EMAs, a third consecutive loss (session over), the daily loss limit (3R), more than 6 trades in a session, and any trade you would grade B.

Quiz answers.

Lesson 1, Q1: C. A scalp has a defined trigger, a small fixed stop, a target fixed in R and a short holding time. Timeframe alone does not make a trade a scalp, and long holds are day trading.

Lesson 1, Q2: C. 1 ÷ 7.5 ≈ 13%. The same pip on an 80-pip swing target would be just over 1% — which is why execution errors matter so much more to scalpers.

Lesson 1, Q3: C. A valid setup that loses is still a correct decision. Judging decisions by single outcomes is how scalpers start rewriting rules mid-session.

Lesson 1, Q4: B. Each scalp risks little, but many trades in a short window can compound losses fast. The daily limit caps the session, not just the trade.

Lesson 1, Q5: B. Late-evening UK hours are thin for European pairs. The format needs the busy, cheap hours, so a slower format suits that schedule better.

Lesson 2, Q1: B. (S + C) ÷ (S + T) = (6 + 1.2) ÷ (6 + 9) = 7.2 ÷ 15 = 48%. Equivalently c = 0.2R and R = 1.5, so (1.2) ÷ (2.5) = 48%.

Lesson 2, Q2: C. Cost in R rises from 0.2 to 0.33, so break-even rises from 48% to about 53%. Tighter stops concentrate the fixed toll.

Lesson 2, Q3: B. 5 × 1.4 = 7 pips, which keeps cost at 0.2R.

Lesson 2, Q4: C. Slippage — the gap between intended and filled price — is not published anywhere and varies with market speed.

Lesson 2, Q5: B. 1.2 ÷ 5 = 0.24R. Slippage is a cost whether the trade wins or loses.

Lesson 2, Q6: B. A small edge can be entirely consumed by an extra 0.1–0.2R of cost per trade. The trading is identical; only the toll changed.

Lesson 3, Q1: B. Movement only matters relative to the toll. 4 ÷ 0.2 = 20x against 9 ÷ 4 ≈ 2x.

Lesson 3, Q2: C. The blackout runs from 15 minutes before to 15 minutes after the release, and trading resumes only when the spread has normalised.

Lesson 3, Q3: B. The pattern resembles the plan, but the clock and the range make it a poor trade: the night's whole range was about 10 pips.

Lesson 3, Q4: C. The first push frequently sweeps the Asian range. The plan waits for structure rather than chasing or fading it.

Lesson 3, Q5: B. Spread is a live liquidity reading. Above your measured normal, it is a stand-down signal as well as a higher cost.

Lesson 4, Q1: C. Long-only needs both conditions: price above the 50 EMA and higher highs and higher lows. A lower high means the structure is mixed.

Lesson 4, Q2: B. The room check requires at least twice the target distance to the next H1 level in the trade direction.

Lesson 4, Q3: B. All four conditions must hold. Insufficient separation and a stale high both fail the filter.

Lesson 4, Q4: C. The plan never trades against the H1 bias or the M5 filter. Disagreement means wait.

Lesson 4, Q5: C. The bias is suspended once its condition breaks. Re-deriving the opposite bias mid-session leads to flip-flopping and paying the toll on each flip.

Lesson 5, Q1: B. The rule is about closes. A wick shows a probe; a close beyond the 50 EMA shows the pullback has become something larger.

Lesson 5, Q2: C. An inside candle that fails to close beyond the prior high is not one of the three triggers. Wait for the next candle.

Lesson 5, Q3: B. The entry goes 0.2 pips (0.00002) above the trigger high: 1.08627.

Lesson 5, Q4: A. 1 pip below the pullback low is 1.08530, giving a 7-pip stop, which sits inside the 5–8 pip band.

Lesson 5, Q5: C. Every rule was followed. Changing rules after a single valid loss is optimising against noise.

Lesson 5, Q6: C. A structural stop closer than the minimum is widened to the minimum, with size reduced so the money at risk stays the same.

Lesson 6, Q1: B. The round number lies within 2 pips beyond the basic stop (1.08502), so the stop goes 1 pip beyond the level: 1.08490, provided that stays inside the maximum.

Lesson 6, Q2: B. £40 ÷ (8 × £7.90) = £40 ÷ £63.20 ≈ 0.633, rounded down to 0.63 lots.

Lesson 6, Q3: B. Limit orders give a guaranteed price, and fixing the exit at entry removes an emotional decision from the trade.

Lesson 6, Q4: B. The plan only takes trades with the size and shape it has been tested on. A skipped winner costs nothing; a stretched rule corrupts the statistics.

Lesson 6, Q5: C. Both used the same entry. One stop sat on the obvious level and was swept; the other sat beyond it and survived.

Lesson 7, Q1: B. The M1 chart never creates a setup. Until M5 price is in the band, the setup is not armed.

Lesson 7, Q2: B. Entering nearer the pullback extreme shrinks the pip distance to the same structural stop, which may bring a too-wide M5 stop within the 8-pip maximum.

Lesson 7, Q3: C. More than half the target distance (3.75 pips) has gone. The setup is missed; chasing is a different, untested trade.

Lesson 7, Q4: B. Stop-entries confirm the turn, the stop-loss is attached at entry, and the limit target fills at your price or better.

Lesson 7, Q5: B. The trade followed the rules. Earlier triggers accept more false starts; that cost is weighed over hundreds of trades, not one.

Lesson 8, Q1: C. The scalper's levels are near, widely watched intraday prices. Weekly trend lines are not part of the micro-level map.

Lesson 8, Q2: B. A level grades a setup but is not part of the plan's conditions. Log whether confluence was present and let the data decide later.

Lesson 8, Q3: B. The 1.5R target is 7.5 pips away at 1.08525, and the level at 1.08500 blocks it. Skip; never shrink the target to fit.

Lesson 8, Q4: C. The sweep and reclaim are information. The M1 trigger in this plan is still the structure shift, confirmed by a stop-entry.

Lesson 8, Q5: C. The rally turned the 20 EMA, so it was no longer falling over six candles. A good candle at a good level never overrides the filter.

Lesson 8, Q6: B. Each test consumes resting orders. Repeatedly tested levels become more likely to break, not less.

Lesson 9, Q1: B. Exiting at the entry price still pays the round-trip toll: 1.0 ÷ 5 = 0.2R. 'Break-even' is a small loss for a scalper.

Lesson 9, Q2: B. Without the rule those trades are worth p × 1.3 − (1 − p) × 1.2; with it, −0.2R. The two are equal at p = 0.4.

Lesson 9, Q3: B. 0.5 × 1R + 0.5 × 2R − 0.2R = +1.3R, the same as a single 1.5R target after costs, but it needs a 10-pip move on a 5-pip stop instead of 7.5.

Lesson 9, Q4: B. Single outcomes prove nothing. Time stops trade fewer full losses for some lost slow winners; only a tested sample shows the net effect.

Lesson 9, Q5: B. Management rules commonly raise win rate by converting losses and winners into small scratches. Only expectancy in R tells you whether they pay.

Lesson 9, Q6: C. Only a pre-decided rule or a genuine abnormality justifies intervention. Nerves and the wish to lock in profit are the urges this lesson is designed to remove.

Lesson 10, Q1: C. The daily limit is 3R. At £40 per R, that is £120.

Lesson 10, Q2: B. The breaker counts any losing exit, including scratches and time stops. Three in a row ends the session.

Lesson 10, Q3: C. About 31% of six-trade sequences contain a run of three losses at a 50% win rate. The breaker is a routine event, not a sign of failure.

Lesson 10, Q4: B. The breaker protects against the degraded decision-making that follows a losing run. Some mornings it will cost a winner; that is its price.

Lesson 10, Q5: C. The clock is one of the five limits. After 10:30 the plan opens no new trades, regardless of the cap.

Lesson 10, Q6: B. Five trades, −1.4R and no three-loss run left room for one more. As the sixth trade, it used the cap, so the session ended there.

Lesson 11, Q1: B. Pair, size, stops, targets and limits are all decided before the session. Only setup recognition and the abnormality check are genuinely live.

Lesson 11, Q2: C. Skipping the checklist and phrases about the market 'owing' you are classic verbal tells. The other options are the process working.

Lesson 11, Q3: B. The plan requires the pullback to touch or enter the value band. A two-candle dip well above the 20 EMA is not a qualifying pullback, whatever happens next.

Lesson 11, Q4: B. A B-grade trade still pays the full toll for little or no edge. There is no discount ticket for a trade you should not take.

Lesson 11, Q5: C. Outsized losses are almost always rule breaks or slippage events, and a few of them can erase a month of good work. They are investigated first.

Lesson 11, Q6: B. Widening the stop from 7 to about 18 pips cut the reward-to-risk to 0.6R and, when the new stop was hit, produced a loss more than twice the planned one.

Lesson 12, Q1: C. The H1 bias is the first filter. Without one, the plan takes no trades, however tempting the M5 chart looks.

Lesson 12, Q2: B. Stops belong beyond obvious levels, not on them. The adjustment kept the stop at 5.8 pips, inside the maximum.

Lesson 12, Q3: B. It was a valid A-grade trade with a losing outcome. Changing rules after valid losses is optimising against noise.

Lesson 12, Q4: B. 1.5 × 6 = 9 pips. A pre-marked level 7 pips away blocks the target, so the trade is skipped rather than reshaped.

Lesson 12, Q5: B. Spread is a live cost and liquidity check. Feelings and recent results are exactly what the checklist is designed to keep out.

Lesson 12, Q6: C. Live trading does not repair a method that fails after costs on a simulator. Change one thing and test it, or conclude the format does not fit.